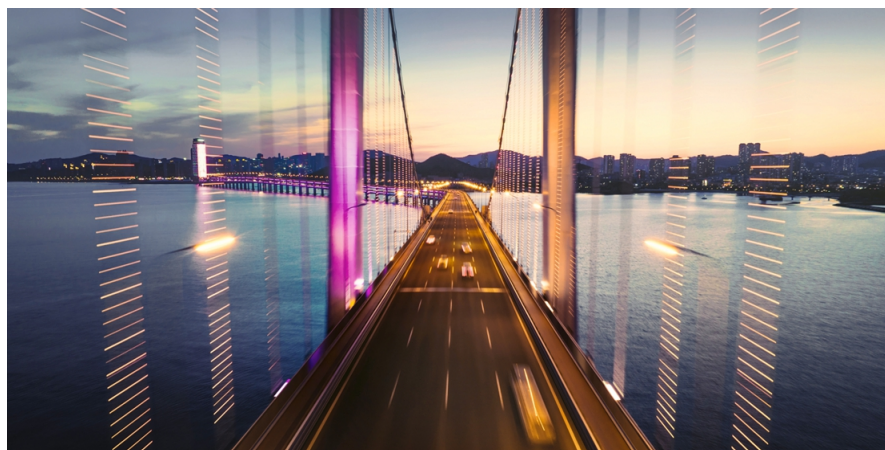


Asian Banks

APAC Focus: Will AI Deliver What Technology Never Could for Asian Banks?



A 35% relative ROE premium already separates Asia's most AI-ready banking markets from the least. Does this reflect genuine AI foresight? We don't think so. We see this as a reflection of macro resilience and the "safety trade" that has driven Asian banks performance since last year through a period of uncertainty. AI, however, could introduce real optionality. If macro conditions were to shift and preference for safety were to fade, but AI were to deliver on the efficiency gains promise, we believe this can continue to support the outperformers.

Six structural factors to assess AI readiness

Not all Asian banks are equal in their ability to convert AI investments into efficiency gains. Studying two decades of cost efficiency journeys across 13 markets in close collaboration with the UBS Asia banks team reveals 6 structural factors that matter: Tech Culture, IT Infrastructure, Efficiency Room, Labour Flexibility, Competitive Urgency and Scale. On a scorecard based on these factors, banks in Korea, Singapore, Australia & Thailand emerge as better positioned. Banks in the Philippines, India (PSUs in particular), Taiwan and Japan face more structural headwinds.

AI premium - Prescient Call or a Beautiful Coincidence?

A 35% relative ROE premium separating Asia's top five AI ready banking markets from bottom five might sound like a bold and prescient market call on AI efficiency. Using a narrower lens makes this even more intriguing. For the most AI-ready banks in the top 5 markets versus the least AI-ready banks in the bottom 5, the valuation premium widens to 40%. Is the market making a prescient AI call at the market level as well as at the stock level? We don't think so. This is not a prescient AI call. This is more of a beautiful coincidence. The same markets sit atop both AI readiness and macro resilience framework ("safety trade" playbook) i.e. banking markets with high dividend yields, FX stability and defensive characteristics that have attracted flows since last year and outperformed given the preference for safety among investors in a period of heightened uncertainty. AI however could introduce a real optionality. Even if the macro shifts and preference for safety were to fade, AI optionality can provide a reason to hold on to the winners.

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Contents

Executive summary.	3
-----------------------------------	----------

Efficiency gains only partially offset revenue pressure	5
--	----------

Will AI deliver on the efficiency promise that tech has fallen short of?	8
---	----------

P&L impact of these initiatives might be limited	10
--	----

Medium-term: From implementation to costs savings.	11
--	----

Cross market differences in AI readiness for banks.	12
--	-----------

AI Readiness Scorecard For Asian Banks	14
--	----

Japan	15
-----------------	----

Australia	16
---------------------	----

China	17
-----------------	----

India.	18
----------------	----

Hong Kong.	19
--------------------	----

Singapore.	20
--------------------	----

Korea	21
-----------------	----

Taiwan.	22
-----------------	----

Indonesia.	23
--------------------	----

Malaysia.	24
-------------------	----

Thailand.	25
-------------------	----

Philippines	26
-----------------------	----

Vietnam.	27
------------------	----

Which banks look better positioned in each market?	28
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Are markets pricing in the AI-driven efficiencies?	30
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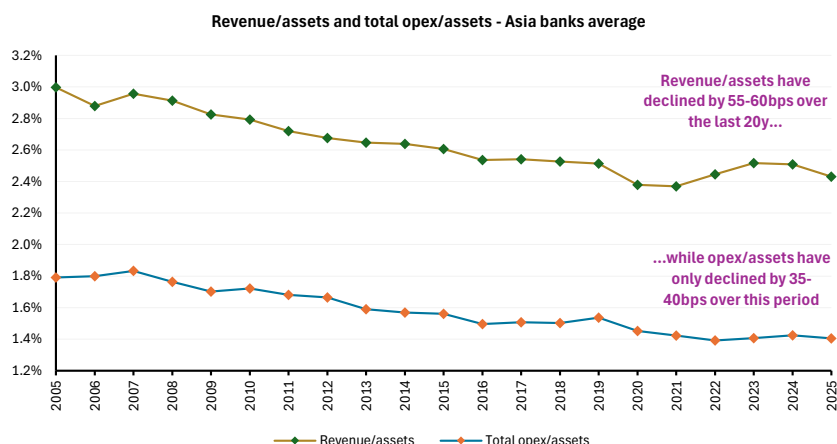
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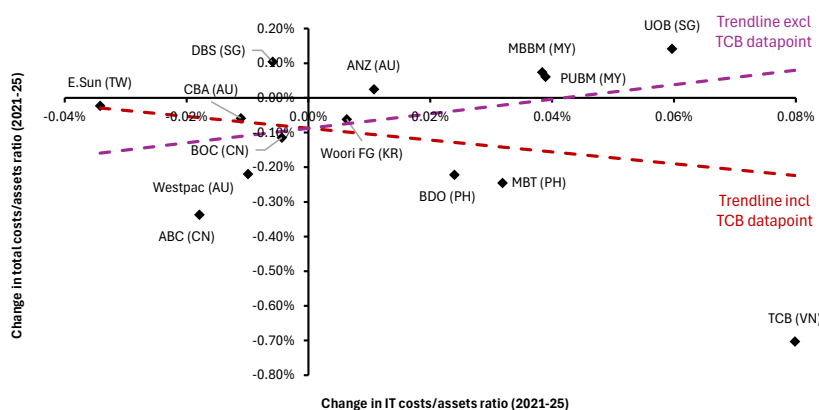
Executive summary

Figure 1: Revenue to assets and total opex to assets



Source: Central banks, Company data, UBS estimates.

Figure 2: Are higher tech investments leading to costs savings?



Source: Company data

Figure 3: Key AI applications among Asian banks

Market	Top AI Priority 1	Top AI Priority 2
China	Technology/engineering enablement – foundation LLM (100B parameters)	Productivity & cost efficiency – RPA across 3,600+ processes
Korea	Credit & underwriting – AI-based lending limits product	Risk, fraud & compliance – AI fraud monitoring systems
Australia	Customer personalisation & experience – personalised digital services	Risk, fraud & compliance – AI fraud & scam prevention
Singapore	Productivity & cost efficiency – enterprise-wide AI efficiency gains	Risk, fraud & compliance – AI in compliance & risk (KYC/AML)
Thailand	Credit & underwriting – AI-embedded lending & credit processes	Revenue growth & advisory – AI-enabled advisory & fintech growth

Source: Company data

Asian banks have only managed to offset the revenue pressure by reducing costs partially in the last two decades.

Please see our companion report [here](#) for a more detailed discussion on these trends.

Technology investments more recently had also fallen short of delivering expected efficiency gains.

Total opex to assets ratio have generally risen in line with higher tech spend over the last few years.

AI to deliver on that now, at least in the medium term.

Near term though most common use cases suggest a similar issue – siloed use cases.

And focus on cost avoidance and capacity release rather than cost reduction. More use cases are in [Figure 20](#).

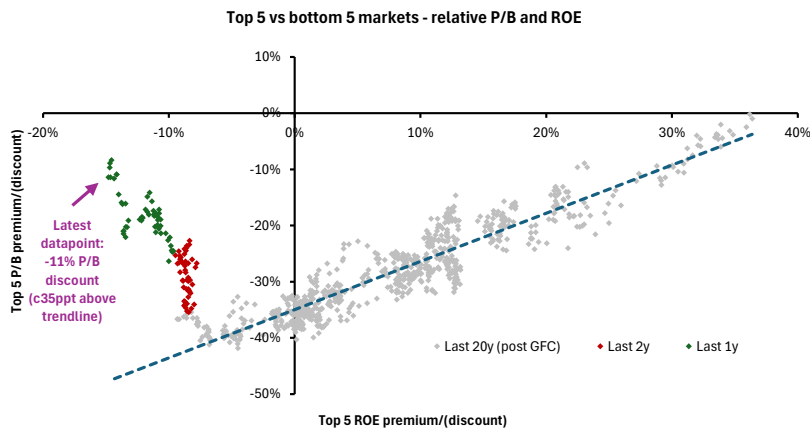
Figure 4: AI Readiness Scorecard for Asian banks (lower score is better)

	Efficiency room	Tech culture	Competitive urgency	Labour flexibility	IT & Data infrastructure	Total Score
Korea	4	1	1	2	1	5
Singapore	4	1	2	3	1	7
Australia	4	2	2	1	2	7
Thailand	4	2	2	2	2	8
China	3	2	3	4	2	11
Hong Kong	4	3	3	2	2	10
Vietnam	3	3	3	2	3	11
Indonesia	2	3	3	3	3	12
Malaysia	3	3	3	3	3	12
Philippines	1	4	3	3	4	14
India	1	4	3	4	4	15
Taiwan	2	4	4	3	4	15
Japan	2	3	4	4	4	15

Source: UBS

Impact of AI investments will not be even. Cost efficiency journeys of Asian banks over the last two decades suggest six structural factors to assess AI readiness today (sixth factor is "scale").

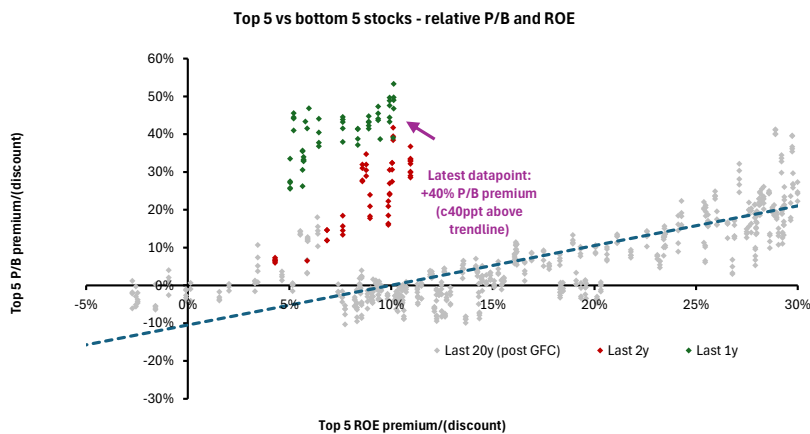
Figure 5: Top 5 vs bottom 5 markets – relative P/B and ROE



The most AI ready banking markets are trading at a 35% premium to the least ready. Is this a prescient market call or "safety trade" in disguise?

Source: Datastream, UBS. Prices as of 15 May 2026.

Figure 6: Top 5 vs bottom 5 stocks – relative P/B and ROE



Even more intriguing is the stock level premium for the most AI ready banks vs the least.

Source: Datastream, UBS. Prices as of 15 May 2026.

Efficiency gains only partially offset revenue pressure

Asian banks have faced structural revenue headwinds driven by demographics-led pressure on net interest income (NII) and persistent challenges in scaling fee income over the last two decades.

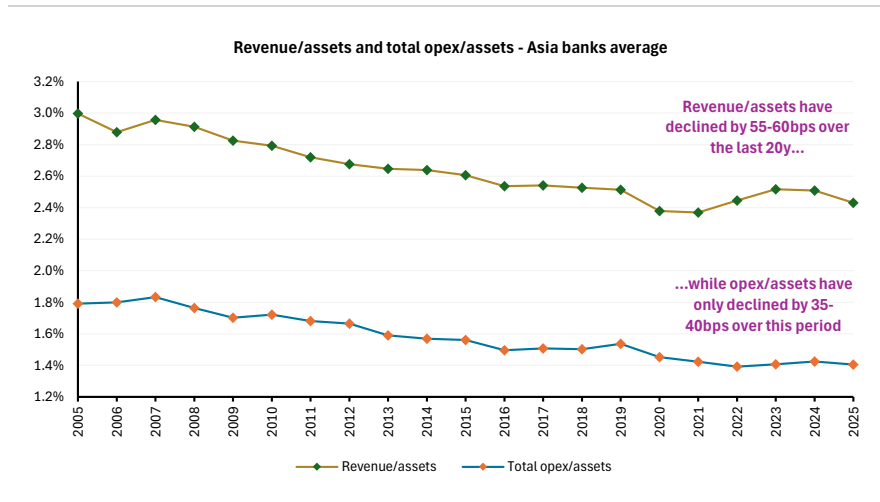
While operating cost discipline over the last two decades has been meaningful, it has not been sufficient to fully offset this revenue erosion. Evidence of higher technology investments by the banks resulting in clear efficiency gains is also at best mixed. This raises the question whether the ongoing and future AI investments will yield any different results? Can AI help unlock the next leg of sustainable efficiency gains for Asian Banks?

Structural pressures like demographics have led to a 45bps decline in overall net interest income to assets for Asian Banks. Efforts to pivot to fee income have only delivered limited relief. Regulatory constraints, structural market features and competitive intensity made it challenging to scale fee income, resulting in an overall decline of 15bps in fee income to assets for Asian Banks in aggregate. Overall revenue to asset fell by close to 60bps for the sector in the last 20 years. We discussed these in greater detail and the varying journeys of Asian banking markets in two of earlier reports -

- [Q-Series "Silver wave: How an ageing population is reshaping Asian..."](#)
- [APAC Focus: Asian Banks "The Pivot to Non-interest Income – how..."](#).

Against this backdrop, banks in the region leaned heavily on cost discipline to protect profitability. Operating efficiency improved steadily over the past two decades, with total operating expenses to assets declining ~40bps over the last 20y on average for Asian Banks, but only partially offsetting the revenue erosion. Please see our companion report for a more detailed discussion on these trends ([After two decades of cost discipline, what's next for Asian banks?](#)).

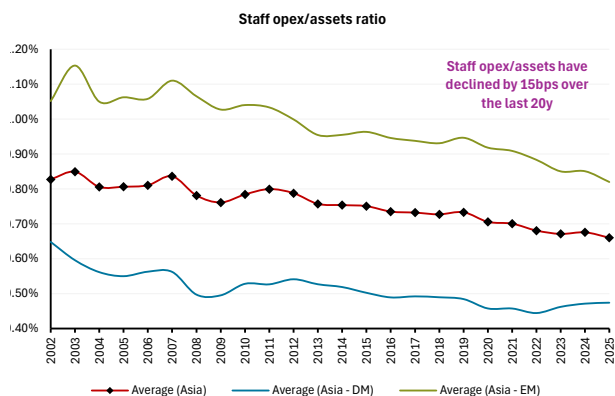
Figure 7: Asian banks only managed to partially offset revenue erosion through efficiency gains



Source: Central banks, Company data, UBS estimates.

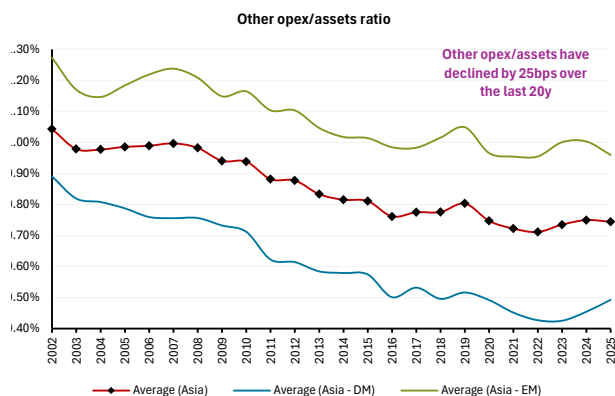
These efficiency gains came from both staff as well non-staff expenses, with non-staff expense reduction playing a bigger role and driving close to 60% of the total efficiency gains at the aggregate level for the sector.

Figure 8: Staff opex to assets ratio declined by 15bps over the last 20y for Asia banks



Source: Central banks, Company data, UBS estimates. JP, AU, KR, SG, HK, TW banks are classified as DM banks above, while IN, CN, ID, PH, TH, MY, VN banks are classified as EM banks.

Figure 9: Other opex to assets ratio declined by 25bps over the last 20y for Asia banks

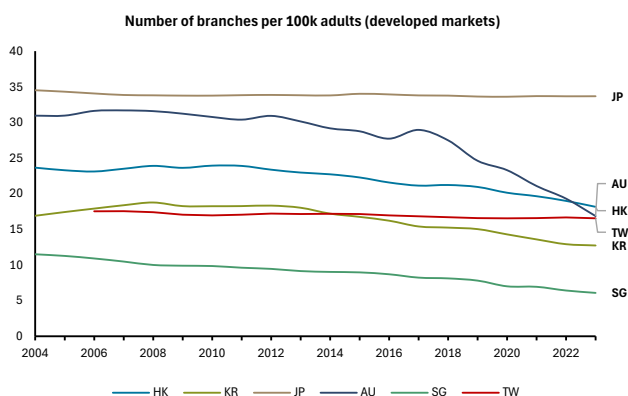


Source: Central banks, Company data, UBS estimates. JP, AU, KR, SG, HK, TW banks are classified as DM banks above, while IN, CN, ID, PH, TH, MY, VN banks are classified as EM banks.

This trend of non-staff expense reduction being more important is even more pronounced in DM markets in Asia than EM. Branch rationalisation, payment infrastructure modernisation and technology consolidation were likely the main drivers of non-staff cost reduction.

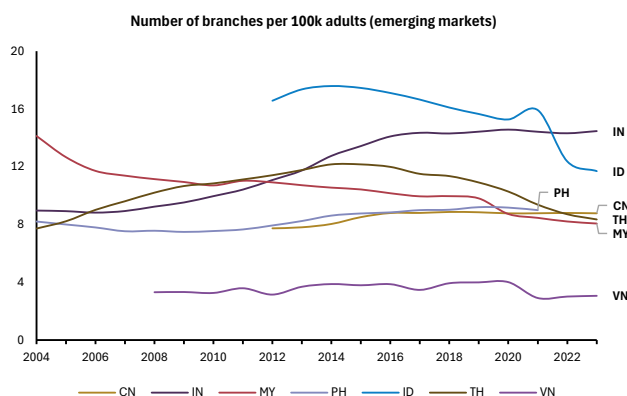
These may or may not come with equivalent staff costs benefits, which due to less labour flexibility can be difficult to achieve in many Asian markets. Significant branch reductions (2012-2022) and launch of real time rails in Korea (early 2000s), Big Four consolidation and retirement of the state-based data centers (through 2000s) in Australia, KBank and SCB consolidation (2016-17 onwards) and PromptPay launch in Thailand (2016), India's UPI (2016), Singapore's IFAST (2014) are a few examples.

Figure 10: # of Branches per 100k – DM Asia



Source: World Bank, FSC Taiwan

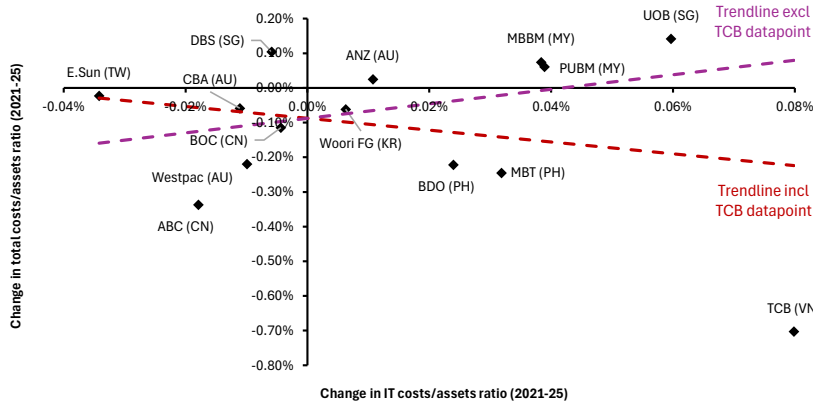
Figure 11: # of Branches per 100k – EM Asia



Source: World Bank

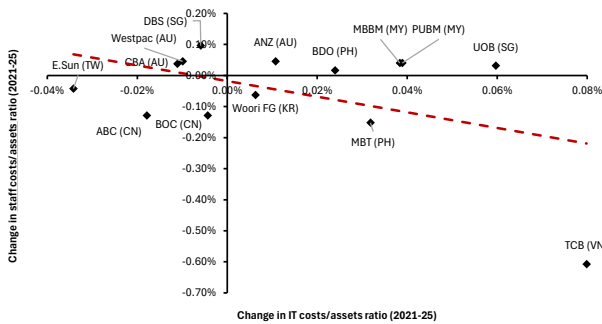
While technology clearly played a role in helping reduce costs at the system level, focussing on the more recent past, the track record of individual banks around this looks a lot less impressive. Not all banks disclose tech spending but for the ones that do, Figures 12-14 show that there is limited evidence of rising technology spend resulting in meaningful reduction in either staff or non-staff costs.

Figure 12: Are higher tech investments leading to costs savings?



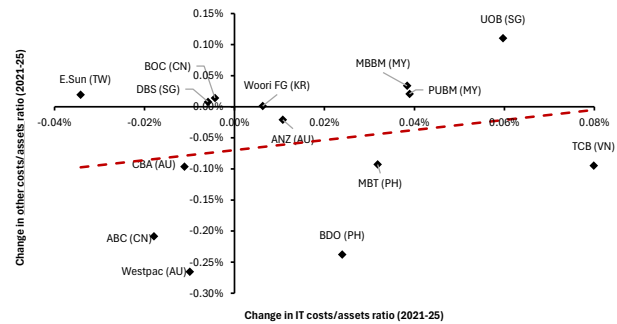
Source: Company data

Figure 13: Higher tech investments has generally led to lower staff costs...



Source: Company data

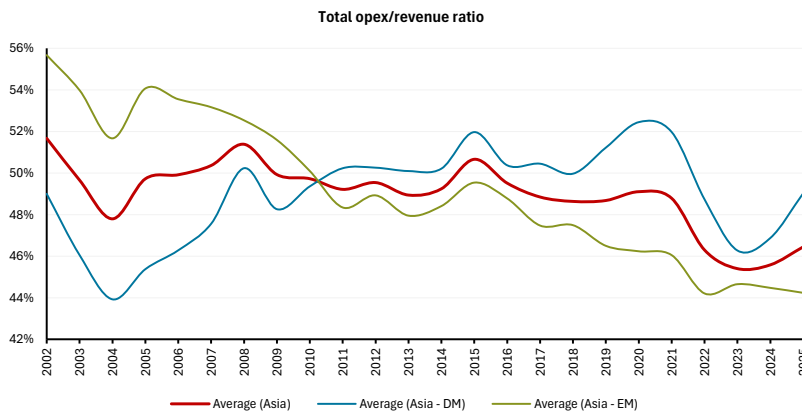
Figure 14: ...but an increase in other costs (which includes tech costs)



Source: Company data

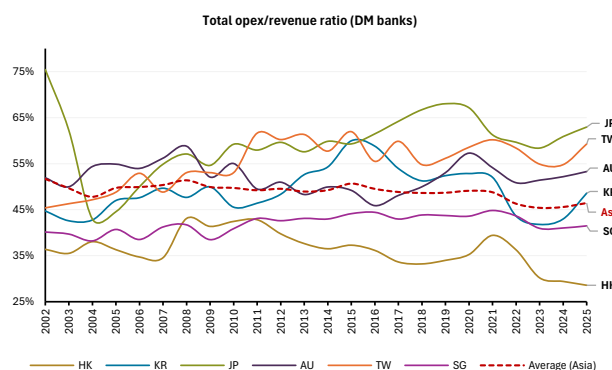
Driving genuine labour productivity improvements and lowering opex intensity has not been easy for Asian banks. Having said that, the track record of EM banks looks slightly better than EM banks overall. EM banks in aggregate have managed to bring down their cost to income ratio down to the same level as DM banks over the years - an observation that is likely to surprise several investors. But as [Figure 15 -Figure 17](#) show, experiences of efficiency improvements across markets have been far from uniform.

Figure 15: Total opex to revenue ratio



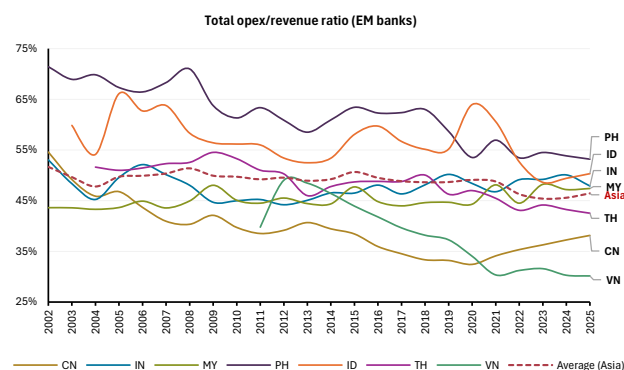
Source: Central banks, Company data, UBS estimates. JP, AU, KR, SG, HK, TW banks are classified as DM banks above, while IN, CN, ID, PH, TH, MY, VN banks are classified as EM banks.

Figure 16: Opex to Revenue (DM Asia Banks)



Source: Central banks, Company data, UBS estimates.

Figure 17: Opex to Revenue (EM Asia Banks)



Source: Central banks, Company data, UBS estimates.

The cost to income journeys show how Japan and Taiwan banks sit persistently at the top of the range for DM banks (60%+) with no meaningful improvements over the years. At the other end are HK and Singapore banks which have been leaner and more efficient.

In the EM group, the divergence between banks in Thailand, China, Vietnam near the bottom and Philippines and Indonesia with the most elevated ratio is quite striking. Thailand's trajectory is quite notable, reflecting genuine efficiency gains.

In both DM and EM groups, the gap between the most and least efficient banks have widened over the last two decades. This raises the question how AI investments will change this?

These trends leave us with two clear observations -

- **Driving genuine labour productivity gains has not been easy for Asian banks**
- **Efficiency improvements across Asian banks, particularly through technology investments, have been far from uniform.**

Will the ongoing and future AI investments be any different?

Will AI deliver on the efficiency promise that tech has fallen short of?

Asian banks are aggressively integrating AI into their core operations, transitioning from experimental pilots to scaled, enterprise-wide deployments of both GenAI and Agentic AI.

[Figure 18](#) - [Figure 20](#) summarize the use cases publicly cited by the regional banks. This data suggests that the use cases so far appear to be primarily focused on three broad areas: 1) **enhancing customer experience** through personalization; 2) **driving productivity gains** in internal workflows like software engineering and document processing; and 3) fortifying defensive moats through **real-time fraud detection and risk analytics**.

Figure 18: Tech/AI applications and implications on business performance – ex-ASEAN banks

Bank	Market	Tech/AI application and implications
ICBC	China	Built ICBC Zhiyong, a financial LLM system with over 100 billion parameters, helps to empower more than 20 main business fields and over 200 scenarios. AI wealth assistant helps to provide personalized services to its 630 million personal mobile banking users. The large-scale application of tech/AI at ICBC has resulted in a workload reduction equivalent to 40,000 persons annually.
BOC	China	Developed the BOCAI large model platform, deployed a series of large models such as DeepSeek and Qwen3, and built more than 400 intelligent assistants to empower key business functions including credit, marketing, operations, office work, customer service and technology. Leveraged enterprise-level robotic process automation (RPA) to reduce the workload of primary-level institutions, deploying RPA in over 3,600 scenarios and executing an average of nearly 300,000 tasks per month.
HSBC	Hong Kong	Have over 100 GenAI solutions in use and a strong pipeline of use cases in development. Around the globe, around 85% of HSBC staff have access to the large language model-based productivity tool, HSBC Productivity Suite, which helps them to analyse and translate documents, summarise information and generate insights. HSBC is increasing AI partnerships to accelerate adoption of cutting-edge technologies. HSBC notes that production use cases have not yet delivered "significant" financial impact in terms of bottom-line numbers, they are viewed as critical for long-term operational efficiency.
StanChart	Hong Kong	StanChart has launched SC GPT, a GenAI tool, across 41 markets worldwide. Designed to enhance operational efficiency and client engagement, SC GPT marks a significant step in the Bank's strategy to integrate AI into its business. Set to empower over 70,000 employees worldwide, SC GPT is expected to improve the Bank's operations and productivity; tailor sales and marketing efforts to increase revenue; advance software engineering with more automation; and scale how risks are measured, managed, recorded and reported. In July 2025, Standard Chartered signed a strategic partnership with Alibaba Group to deploy Alibaba Cloud AI technology across its client service, sales intelligence, risk management, and compliance functions.
Hana FG	Korea	Launched an AI-based loan product which uses AI to determine customer loan limits. The new product calculates optimal loan limits for applying customers' finances, based on its analysis of the Bank's big data of loan transaction records and patterns.
Woori FG	Korea	Use of AI to streamline work processes. For example, the AI-based market prediction system supports optimization of asset management, whilst the fraudulent transaction monitoring system also leverages AI technology. Aims to expand the use of AI to customer services, and promoting various projects to establish potential banking services in line with this goal. This includes upgrading their AI-based counseling bot and chatbot services, as well as implementing an AI Banker by developing language models tailored to the financial sector.
MUFG	Japan	Implemented AI in 116 use cases and aim to exceed 250 by FY26. MUFG is advancing the development of AI agents (e.g. co-developing an AI credit expert with Sakana AI). For employees, AI is supporting tasks such as summarizing and translating materials, creating sentences and programs, aggregating and analyzing numbers, and generating ideas. Estimates that cumulative benefits from AI use cases over its current three-year medium-term business plan will reach approximately JPY30 billion.
SMFG	Japan	Beyond improving productivity by replacing human work, SMFG aims to develop a model where AI acts as a partner, analyzing data, anticipating customer needs, and making proposals using avatars in the core of banking business such as lending and asset management.
HDFCB	India	Using cloud-based AI/ML tools, the bank decodes customer behavior to curate "hyper-personalized" content and sharpens campaign precision to improve return on investment. Actively engaging in "agentic AI" projects through its Tech Innovators platform and collaborates with the RBI Innovation Hub on AI-based early warning systems and inclusive credit tools.
Axis Bank	India	The Bank is harnessing emerging technologies such as AI/ML, automation, and data analytics to enhance customer experience, optimize operational efficiency, and improve staff productivity by building AI assists. By process Re-Engineering and digitisation, the Bank has been able to reduce the turnaround time on savings and current account opening by about 90%; and on various other processes by 50%-80%. In addition to improving efficiency, there was significant impact on customer satisfaction and risk containment.
CBA	Australia	Consistently invested in technology, data and analytics to deliver more personalised experiences for our customers and make things easier for CBA employees. CBA has achieved tangible efficiency gains, including a 65.00% improvement in recovery times from critical incidents and a 39.00% decrease in core operations complaints.
NAB	Australia	Advanced technology modernisation agenda by streamlining systems, simplifying processes, and embedding smarter, faster, and safer digital solutions. NAB's investment in AI and technology has yielded significant financial protections, preventing or recovering over \$385 million in customer scam and fraud losses in 2025.

Source: Company data, UBS

Figure 19: Tech/AI applications and implications on business performance – ASEAN banks

Bank	Market	Tech/AI application and implications
DBS	Singapore	DBS' data analytics and artificial intelligence (AI)/ machine learning (ML) initiatives delivered over SGD 750 million of economic value in 2024, more than double that in the previous year, and aiming for a total economic impact of SGD 1 billion from AI and data initiatives in 2025. The bank has implemented over 1,500 AI models across 370 distinct use cases. DBS uses AI to automate routine "white-collar" tasks, such as writing credit memos, performing KYC (Know Your Customer) checks, and screening transactions. Approximately two-thirds of staff use Gen AI for tasks like summarization, research, and translation, while data scientists use AI coding assistants to reduce coding time by up to 20%. Agentic AI is being tested to generate credit evaluation memos, and Gen AI tools summarize customer calls for quality assurance. The use of AI is expected to lead to revenue, productivity and cost-income ratio improvements.
OCBC	Singapore	AI serves as a strategic lever to maximise value in three key areas: increasing revenue, reducing risk, and enhancing productivity. About six million decisions in the Bank are made by AI on a daily basis. These tools have boosted productivity by as much as 50 per cent, freeing up employees' time and enabling them to focus on higher-value tasks. OCBC aims for 75% of all customer service requests to be AI-assisted, reducing response times and enhancing the customer experience. As workflows and processes become increasingly optimised, OCBC anticipates a 20% increase in staff productivity. Achieved close to S\$80 million in cost avoidance in 2025 through technology modernization and AI integration.
UOB	Singapore	Using GenAI to automate manual processes and increase the workflow efficiency. The end goal is to apply these AI solutions across the Bank to enhance business processes, productivity, manage risk and better personalise customer experience at scale and at speed. AI is being scaled to improve detection accuracy in areas such as Anti-Money Laundering (AML), fraud detection, and scam prevention.
Maybank	Malaysia	Piloted agentic AI in its internal auditing processes to automate selected workflows and enhance insight generation.
CIMB	Malaysia	Leverages conversational AI and chatbots to handle routine inquiries and improve response times across digital channels. AI is applied to credit decisioning, fraud detection, and general operational processes to improve consistency and service quality.
BDO	Philippines	Transitioning away from manual, low-end compliance and bookkeeping work by implementing AI solutions designed to enhance productivity, mitigate risk, and focus on higher-value advisory services.
BPI	Philippines	BPI utilizes AI and machine learning to analyze customer behavior, allowing for hyper-personalized product recommendations and "digital nudges" within its mobile apps. BPI is exploring AI-enhanced credit scoring models to better assess the creditworthiness of the "unbanked" or "underbanked" segments, using non-traditional data points to expand its lending reach.
BCA	Indonesia	Integrated the use of Augmented Reality (AR), Machine Learning (ML), and Generative Artificial Intelligence (Gen-AI) to automate internal processes and support strategic initiatives like fraud detection and AI assistance. Utilizes Gen-AI coding assistants to accelerate IT development, which significantly reduces risks and costs. Internally, AI agents at the contact center handle repetitive tasks, such as mortgage quality control, where an automatic engine replaced the manual work previously done by five agents. ML models are deployed for new customer segmentation and to predict customer attrition (churn), allowing for more targeted investment offerings.
BMRI	Indonesia	Mandiri uses AI and Gen-AI to provide personalized product recommendations and improve the efficiency of digital marketing across its digital channels. Focuses on both front-end and back-end automation to reduce operational bottlenecks and accelerate internal processes.
KBANK	Thailand	AI is embedded into end-to-end credit processes, including automated approval decisions, fraud prevention, and collection analytics to increase recovery rates. The bank has launched AINU, an AI-driven identity verification solution (facial recognition and OCR), and InsurTech solutions for automated accident assessments to process claims more efficiently.
SCBX	Thailand	Uses AI-powered advisory tools and predictive analytics to provide personalized recommendations and account planning. Its InnovestX platform delivers real-time data and AI-driven insights covering over 1,000 stocks. Digital lenders MONIX and ABACUS leverage proprietary AI engines for behavioral scoring to capture underserved segments with superior asset quality. CardX utilizes AI-driven collections to control credit costs and manage debt recovery efficiently. AI-driven security solutions identify anomalies and potential fraud by analyzing large volumes of network and user interaction data that traditional rule-based controls might miss.
TCB	Vietnam	Integrated AI across its entire value chain, processing over 8 billion data points daily to build detailed customer profiles with approximately 12,500 attributes each. Advanced analytics and machine learning initiatives delivered VND 1.3 trillion in incremental revenue in 2025. AI is being embedded into hyper-personalized credit decisioning models to enable faster, risk-aligned lending.

Source: Company data, UBS

Figure 20: Summary of AI applications by markets

Market	Top AI Priority 1	Top AI Priority 2	What this indicates about the market's AI strategy
China	Technology/engineering enablement – foundation LLM (100B parameters)	Productivity & cost efficiency – RPA across 3,600+ processes	Chinese banks emphasise technological self-sufficiency and massive scale, building proprietary large language models and deploying AI across thousands of processes to achieve huge efficiency gains.
Hong Kong	Productivity & cost efficiency – 85% of staff using GenAI tools	Revenue growth & advisory – AI-driven sales & revenue initiatives	Global banks in Hong Kong focus on enterprise-wide GenAI adoption for internal efficiency while also pursuing AI-enabled revenue growth (e.g. tailored marketing to boost sales), indicating an emphasis on long-term innovation over immediate returns.
Korea	Credit & underwriting – AI-based lending limits product	Risk, fraud & compliance – AI fraud monitoring systems	Korean banks are selectively introducing AI in core lending (e.g. automated loan limit decisions) and improving risk controls (AI-based fraud monitoring), reflecting a targeted, cautious integration of AI into traditional banking.
Japan	Productivity & cost efficiency – AI for workforce productivity (¥30 bn benefit target)	Credit & underwriting – AI credit expert in lending	Japanese banks are pursuing broad AI deployment for efficiency gains (aiming ~¥30 bn cost benefits) and innovating with AI in lending (co-developing an AI credit expert) to embed AI as a trusted partner in core banking services.
India	Customer personalisation & experience – hyper-personalised marketing & content	Productivity & cost efficiency – process automation for scale efficiency	Indian banks leverage AI to hyper-personalise products and campaigns for their huge customer bases (boosting marketing ROI) alongside aggressive automation of high-volume processes (90% faster account opening, etc.) to support growth at scale.
Australia	Customer personalisation & experience – personalised digital services	Risk, fraud & compliance – AI fraud & scam prevention	Australian banks are improving digital customer experiences (more personalised services) while strengthening AI-powered fraud and scam prevention (intercepting ~\$385 m in scams in 2025), reflecting a balance between innovation and security.
Singapore	Productivity & cost efficiency – enterprise-wide AI efficiency gains	Risk, fraud & compliance – AI in compliance & risk (KYC/AML)	Singapore's banks lead in broad AI usage, achieving significant measurable value (SGD 750 m+ in 2024) by automating tasks at scale and tightening risk/compliance controls (e.g. KYC checks, AML, fraud detection).
Malaysia	Customer personalisation & experience – AI chatbots for customer service	Risk, fraud & compliance – fraud detection & audit automation	Malaysian banks prioritise practical improvements: deploying AI chatbots to handle routine customer queries faster and starting to automate internal control processes (e.g. AI in fraud monitoring & auditing) for greater efficiency.
Philippines	Customer personalisation & experience – hyper-personalised offers & nudges	Regulatory & financial inclusion – AI credit scoring for unbanked segments	Philippine banks are catching up by automating manual tasks to improve productivity and using AI for highly tailored product suggestions & credit scoring to reach the unbanked, highlighting both modernisation and financial inclusion.
Indonesia	Productivity & cost efficiency – AR/GenAI-driven process automation	Customer personalisation & experience – personalised product targeting	Indonesian banks are mixing frontier tech (AR, GenAI) to automate internal operations (e.g. AI agents in back-office roles) with AI-driven personalisation in offerings and marketing, aligning with the country's fast-evolving digital landscape.
Thailand	Credit & underwriting – AI-embedded lending & credit processes	Revenue growth & advisory – AI-enabled advisory & fintech growth	Thai banks are applying AI in core credit operations (from loan approval to fraud checks) while developing AI-powered advisory and digital lending platforms to drive new growth and serve underserved segments.
Vietnam	Customer personalisation & experience – data-driven hyper-personalisation	Credit & underwriting – AI-augmented credit underwriting	Vietnam's banks utilise huge data sets (8 billion+ daily data points) to enable ultra-personalised customer insights and swift, AI-assisted lending decisions, supporting strong revenue growth in loans.

Source: Company data, UBS

P&L impact of these initiatives might be limited

- Investments in **customer personalization** are best viewed as defensive rather than revenue accretive. While improved engagement and cross-sell are often cited as benefits, the more tangible outcome is the prevention of customer attrition and share loss. As personalization becomes ubiquitous, its absence is more likely to result in revenue leakage than its presence driving incremental topline growth.
- Productivity-oriented use cases**, particularly in software development, operations, and document processing, offer clearer scope for cost efficiencies in the medium term, although quantification remains challenging at this stage. Some banks even refer to AI as "Augmented intelligence" suggesting limited scope for headcount reduction which continues to be politically challenging in many Asian markets. Gains are more likely to accrue gradually through headcount avoidance, faster turnaround times, and reduced error rates rather than explicit cost reduction. As such, near-term margin uplift may be limited. Benefits might manifest more as a structural hedge against cost inflation over the medium term.
- Lastly, AI investments in **fraud detection** and risk analytics have a more direct bearing on earnings stability rather than earnings expansion. While improved data ingestion and real-time analytics could modestly enhance credit underwriting outcomes, the primary benefit lies in mitigating downside risks – lower fraud losses, earlier identification of asset quality deterioration, and reduced tail-risk events. In this sense, these capabilities help contain potential future costs that could otherwise materialise in the absence of such investments, supporting more resilient returns through the cycle.

While localized efficiency gains can be significant – such as reducing lending decision times or automating customer messaging – these are not yet headcount-reduction stories in most cases. They are primarily **capacity-release (same headcount, higher throughput)** and **cost-avoidance (not hiring)** stories, which likely gets reflected in cost/income overtime gradually rather than immediate opex cuts. Specifically see the

comment from HSBC above.

There is also a risk that just like technology investments in the past, any resulting cost savings today will be reinvested back in additional capital expenditure required for larger data infrastructure, technological upgrades, cybersecurity, and compliance to remain competitive against peers and digital-native disruptors, further diminishing the P&L impact.

Medium-term: From implementation to costs savings

Nevertheless, there remains potential for AI to drive material cost savings for banks in the medium term given the large amount of data and human capital intensive nature of the business. Furthermore, based on the findings from McKinsey (report [here](#)), operations can represent ~60–70% of a bank's cost base, making operational AI the biggest cost lever for banks if scaled end-to-end.

ICBC in China has said that they have reached a milestone where the workload handled by AI is equivalent to more than 40,000 full-time employees, illustrating the massive scale of operational displacement possible.

Furthermore, as banks move past the initial high capex phase of building data infrastructure, these "digital workers" can scale with very low marginal cost, eventually potentially allowing banks to scale their revenues without a linear increase in headcount or physical infrastructure.

Cross market differences in AI readiness for banks

In order to be able to assess the AI readiness of Asian banks, we find studying their journeys over the last two decades, their successes and challenges, quite instructive.

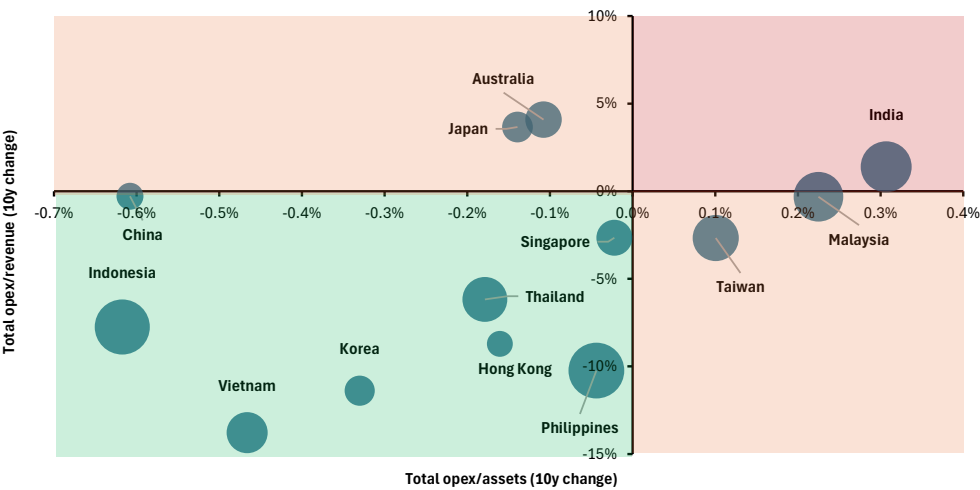
Figure 21 shows a summary of the direction of opex trends across Asian banking markets at an overall level and also breaks it down by staff and other costs. Figure 22 shows also shows the quantum of these changes and also the current level of opex as % of assets (size of the bubble).

Figure 23 and Figure 24 show the evolution of the opex to asset ratio for each market over the last 10 years.

Further down, Figure 25 -Figure 30 show the historical trends of Opex to Assets (broken down by staff and non-staff) for the Asian banks by market over the last two decades.

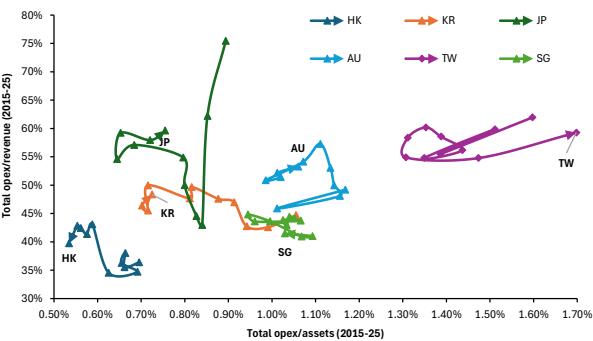
These data form the basis of the discussion and AI readiness framework that follows.

Figure 22: Opex changes in the last 10 years across Asian banks (bubble size indicates the current level)



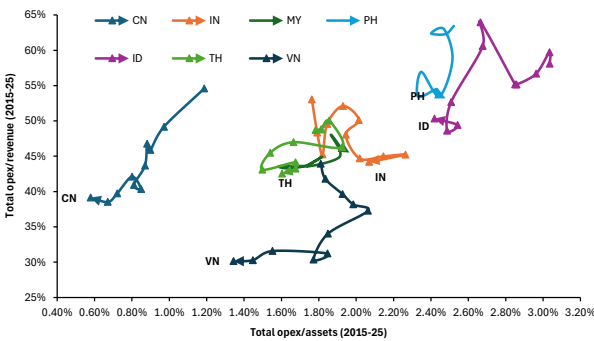
Source: UBS estimates. Note: Bubble sizes are scaled to banks' respective total opex/assets ratios as of 2025.

Figure 23: How has opex/revenue and opex/assets ratio changed over the last 10y (DM)?



Source: Central banks, Company data, UBS estimates.

Figure 24: How has opex/revenue and opex/assets ratio changed over the last 10y (EM)?



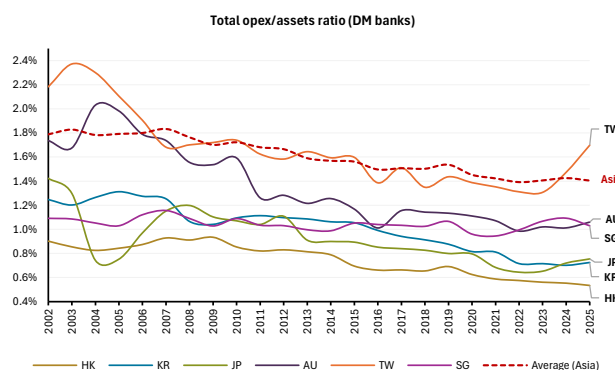
Source: Central banks, Company data, UBS estimates.

Figure 21: Opex drivers (as % of assets)

As % of assets (10y chg)	Staff costs	Other opex	Total opex
China	↓	↓	↓
Hong Kong	→	↓	↓
Korea	↓	↓	↓
India	↑	↑	↑
Japan	↓	↓	↓
Australia	→	↓	↓
Taiwan	↓	↑	↑
Singapore	→	↓	→
Malaysia	↓	↑	↑
Philippines	↓	→	→
Indonesia	↓	↓	↓
Thailand	↓	→	↓
Vietnam	↓	↓	↓
Avg (Asia)	↓	↓	↓

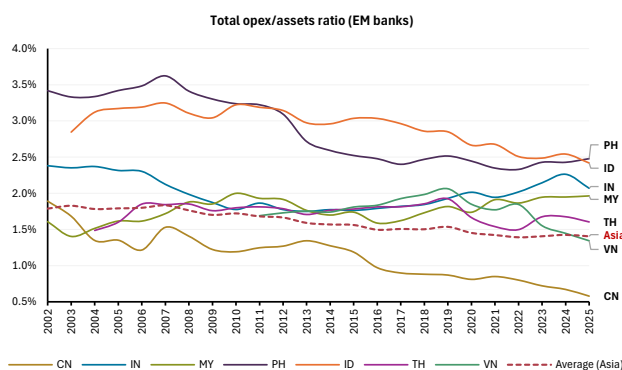
Source: Central banks, Company data, UBS estimates

Figure 25: Total Opex to Assets (DM Asia Banks)



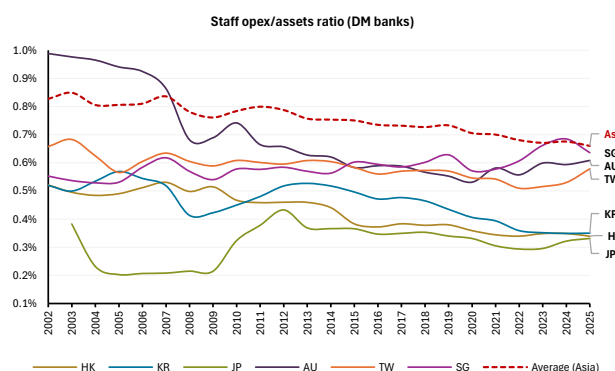
Source: Central banks, Company data, UBS estimates.

Figure 26: Total Opex to Assets (EM Asia Banks)



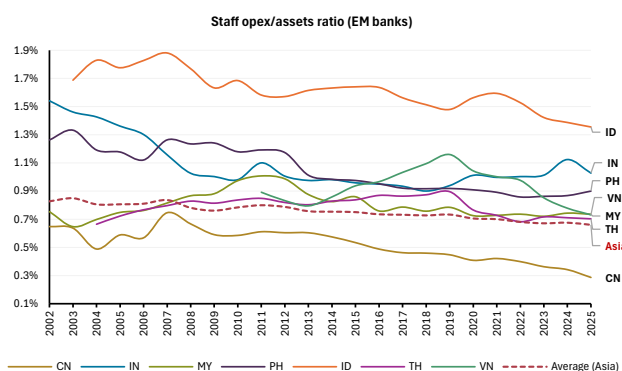
Source: Central banks, Company data, UBS estimates.

Figure 27: Staff Opex to Assets (DM Asia Banks)



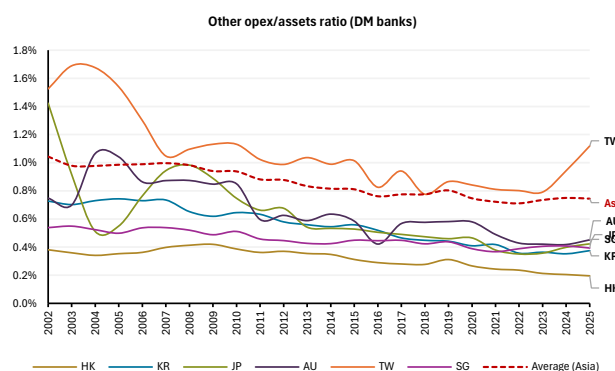
Source: Central banks, Company data, UBS estimates.

Figure 28: Staff Opex to Assets (EM Asia Banks)



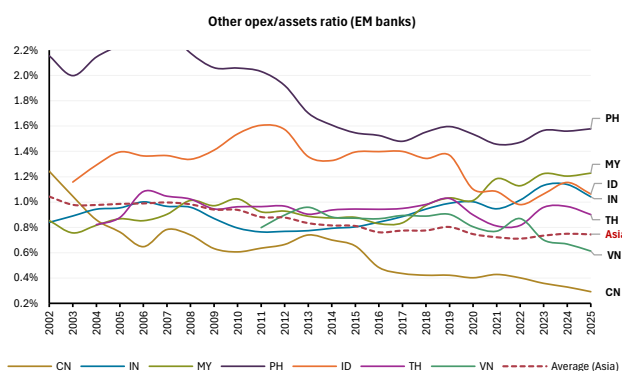
Source: Central banks, Company data, UBS estimates.

Figure 29: Non-staff Opex to Assets (DM Asia Banks)



Source: Central banks, Company data, UBS estimates.

Figure 30: Non-staff Opex to Assets (EM Asia Banks)



Source: Central banks, Company data, UBS estimates.

AI Readiness Scorecard For Asian Banks

As will become clear from the detailed discussion below there were six factors that were critical determinants of whether a banking sector was able to deliver efficiency gains successfully. These we believe will also determine the track record for AI related efficiency gains in future. These factors form the basis of the AI readiness scorecard that we present for Asian banking markets below –

- **Tech Culture** – This captures whether banks approach technology as a genuine strategic tool for productivity improvement or more as a compliance and capability exercise. Markets where technology investment is held accountable to cost-out targets – rather than feature delivery milestones – are likely to show better efficiency outcomes.
- **Competitive Urgency** reflects the degree to which banks face an existential market threat that forces genuine follow-through on efficiency commitments. Technology investments without competitive pressure tends to be additive rather than substitutive
- **Efficiency Room** measures the quantum of addressable opex inefficiency remaining in the system. High scores here reflect currently elevated cost ratios relative to peers.
- **Labour Market Flexibility** is also an important precondition for AI-driven opex improvement. AI can automate processes, but efficiency ratios can only improve if the headcount those processes required is actually reduced or not replaced. In certain markets cultural norms, union structures, political economy, or state ownership objectives can prevent this.
- **IT Systems and Data Infrastructure** determines whether AI can be deployed effectively in the first place. AI tools require modern API-accessible core systems, clean and well-governed data, and also high quality national-level data – digital identity, credit bureaus, open banking frameworks – to generate meaningful outputs. Markets burdened by old legacy systems might need to upgrade before AI investment delivers returns; those with modern infrastructure can deploy immediately and at lower integration cost.
- **Scale** reflects the reality that meaningful AI investment is capital-intensive and subject to significant economies of scale – the costs can only be justified above a certain asset threshold. In our framework, this doesn't play a big role since almost all banks that we consider appear to have the scale that might be needed to make these investments, making the other five factors more critical.

Disclaimer: While based on the past experience and backed by quantitative evidence in each market, these views are inherently subjective and only reflect one analytical perspective. These are by no means a definitive assessment. Other observers might rank the markets differently. The framework is largely intended as a structured framework for comparative thinking, not necessarily a definitive forecast of AI outcomes across markets.

Figure 31: AI Readiness Scorecard for Asian banks (lower score is better)

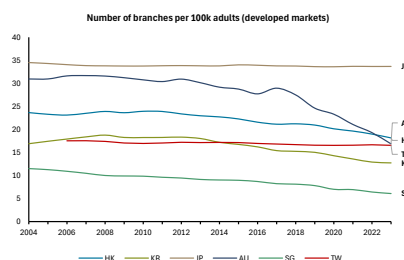
	Efficiency room	Tech culture	Competitive urgency	Labour flexibility	IT & Data Infrastructure	Total Score
Korea	4	1	1	2	1	5
Singapore	4	1	2	3	1	7
Australia	4	2	2	1	2	7
Thailand	4	2	2	2	2	8
China	3	2	3	4	2	11
Hong Kong	4	3	3	2	2	10
Vietnam	3	3	3	2	3	11
Indonesia	2	3	3	3	3	12
Malaysia	3	3	3	3	3	12
Philippines	1	4	3	3	4	14
India	1	4	3	4	4	15
Taiwan	2	4	4	3	4	15
Japan	2	3	4	4	4	15

Source: UBS; 1 = better, 4 = less good. Lower total score = stronger overall AI readiness. For efficiency room, score 1 = more room (highest AI opportunity); score 5 = already highly efficient.

Japan

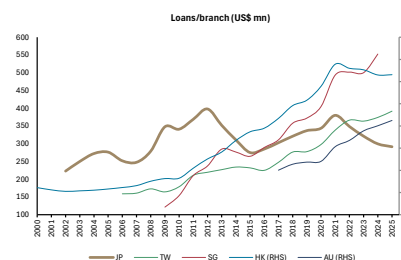
- Total opex / assets for the megabanks sits towards the top of DM group just below the Asian average. There has been little improvement over the last 15y or so. This reflects the structural challenges in the market.
- Staff costs are paradoxically the lowest in the DM group but again like overall costs, and unlike most other Asian markets, have not shown any meaningful improvement over the decades. The level appears to be affected by the large asset base and sheer size of the Japanese banks that compresses the ratio. Lifetime employment norms, powerful union cultures and deep social expectations add to the challenge in driving efficiencies through headcount reduction.
- Non-staff costs remain elevated and likely reflect the legacy IT maintenance burden. The three mega banks have announced ambitious technology transformation programs – MUFG committing Y1tn in tech investments over 2021-25, SMFG partnering with SBI Holdings for digital distribution, and Mizuho publishing a standalone Digital Transformation Report following the FSA's 2021 administrative action – all signal that management intent is genuine and regulatory pressure is real. The challenge remains execution and speed.
- [Figure 33](#) highlights the restructuring challenge in Japan. 33 branches per 100k adults – the highest density among all 13 Asian markets – and a line that has remained flat for decades. On the contrary every other DM market has seen branch rationalisation, with Australia leading in the last decade. Japan's branch network has not changed despite the mounting revenue pressure building up over the years (low interest rates, demographics).

Figure 33: # of branches per 100k adults - DM Asia



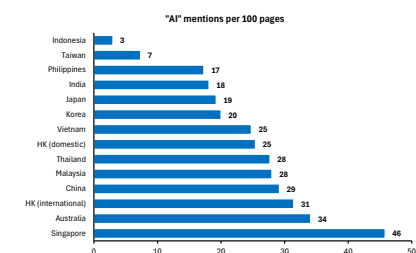
Source: World Bank, FSC Taiwan

Figure 34: Loans per branch - Japan is an outlier



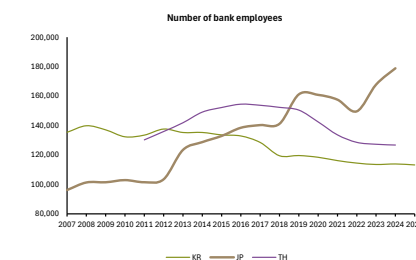
Source: Central banks, Company data. Note: Data for Singapore is based on total for OCBC and UOB.

Figure 32: AI references in Annual reports (per 100 pages)



Source: Company data, UBS

Figure 35: # of Bank employees



Source: Central banks, Company data. Note: Data for Japan (MUFG, SMBC).

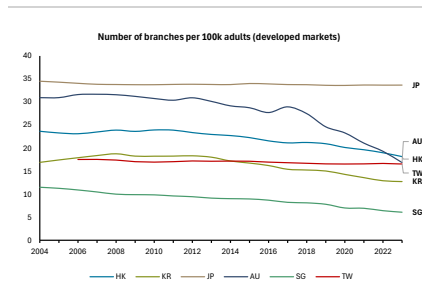
What drives the scores for Japan banks (1=highest, 5=lowest):

- **Tech culture** – a score of 3 for the mega banks in aggregate given the recently announced ambitious technology plans which all suggest genuine intent. FSA is also pushing hard for organisational change but the progress has been slow. Mega-banks (MUFG, SMFG, Mizuho) are all making progress albeit from a low base.
- **Competitive urgency** – a score of 4 alongside Taiwan. Just like in Taiwan, significantly less neobank disruption threat due to an aging demographic. Lifetime employment norms reduce internal urgency within organisations. Only Asian market where loans per branch has continued to decline ([Figure 34](#)).
- **Efficiency room** – scores 2 alongside Indonesia and Taiwan. High opex to assets ratio suggest room for inefficiency to come down especially on non-staff costs driven by legacy IT maintenance overhead. Less room than India and Philippines where both cost lines are simultaneously elevated. See [Figure 25](#) above.
- **Labour flexibility** – a score of 4 alongside India and China. Lifetime employment norms, powerful internal union cultures, and deep social expectations introduce some rigidity in the labour market. In China, state direction creates a constraint, in Japan it appears to be more cultural and contractual. Natural attrition over the next decade is one pathway. See [Figure 35](#) above.
- **IT & data infra** - a score of 4 given legacy IT burden. COBOL expertise remains valued over cloud engineering at major institutions. See [Figure 29](#).

Australia

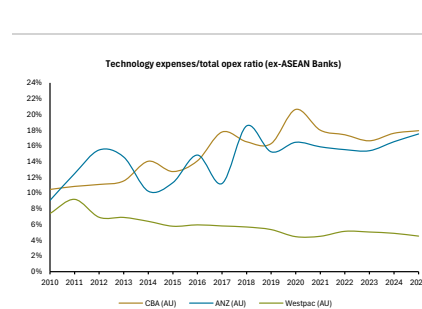
- One of the clearest downward trends in the DM group – total opex / assets declining steadily over the years – clear evidence of the restructuring journey over the years. The overall ratio and staff costs are now converging with Singapore declining from a much higher level suggesting genuine structural transformation. Sharpest downward trajectory for branch per capita from 30+ to 15 among the DM group reflecting sustained restructuring programs without political bottlenecks.
- Both staff and non-staff lines have declined with the latter showing a sharper fall reflecting the data center consolidation and branch rationalisation in the 2000s.
- The heavily unionised nature of workforce and over branched nature of banking in Australia changed after the crisis in the early 90s. Several banks faced heavy losses and had to transform. In some ways similar to Korea, Australian banks had to focus on cost discipline driven by the crisis. This also likely allowed for more political permission for restructuring.
- Worth mentioning here are the two landmark financial inquiries: the Campbell Committee reforms of the early 1980s and the Wallis Inquiry of the late 1990s. Both aimed to inject competition, market discipline, and modern regulation into a previously tightly controlled system, thereby improving banking efficiency over the long term.
- The unique mortgage brokerage channel, superannuation driven shareholder discipline are also factors unique to Australian banks that help gradually improving efficiency ratio in recent years.

Figure 36: # of branches per 100k adults – DM Asia



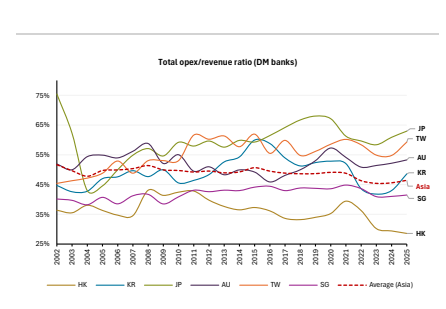
Source: World Bank, FSC Taiwan

Figure 37: Tech spend / Opex



Source: Company data

Figure 38: OPEX / Revenue – DM Asia



Source: Central banks, Company data, UBS estimates.

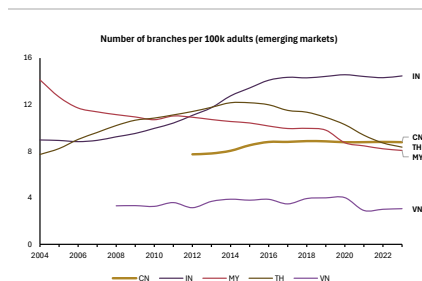
What drives the scores for Australia banks (1=highest, 5=lowest):

- **Tech culture** – scores 2 alongside China and Thailand. CBA is a genuine global AI leader. The Royal Commission drove process standardisation and enabled automation. Scores below Korea and Singapore because tech culture appears to be more concentrated at the Big Four.
- **Competitive urgency** – scores 2 alongside Singapore and Thailand. Neobank competition is emerging. The mortgage broker channel – intermediating almost two-thirds of new originations – creates permanent and structural margin pressure that forces cost discipline. Demanding institutional shareholders (superannuation) add a further sustained efficiency forcing function absent in most Asian peers.
- **Efficiency room** – scores 4 alongside Korea, Singapore, and HK. Transformed through decades of restructuring from one of the highest cost bases in the DM peer group to current Singapore-equivalent levels. In a high income market, non-staff cost level is a bigger determinant of room for efficiency. See (Figure 38).
- **Labour flexibility** – scores 1 alone – a clear demonstrated track record of large-scale banking restructuring without the political opposition that would be faced in Japan, India or China (Figure 36).
- **IT & data infra** – scores 2 alongside China, Thailand, and HK. The Big Four operate on modern, well-integrated architectures albeit regional banks carry more legacy burden.

China

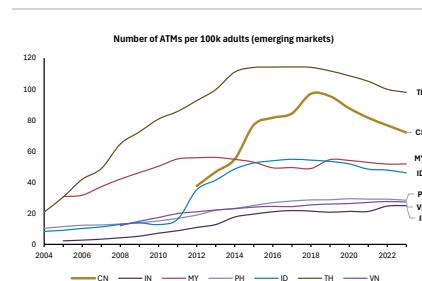
- Opex / assets has fallen sharply and sits at the lowest level among all Asian markets. This is true for both staff and non-staff costs which both are the lowest in the region.
- This is partly a reflection how SOE banks compensation is managed. Since 2015, executive and senior staff pay has been effectively capped as part of the SOE reform agenda, as well as front line wage growth has been tightly managed. This contrasts with India where there are bipartite wage settlements and these are negotiated with unions with often politically generous outcomes.
- On non-staff opex, there are specific reasons why Chinese banks are able to maintain one of the lowest level - a lot of the digital infrastructure was built with state subsidy or shared cost arrangements, and individual banks didn't have to bear the full investment cost the way they had to in other markets (like Japan or Taiwan).
- Banks also effectively outsource the customer facing digital layer to fintechs (like WeChat or Alipay) avoiding the significant UX / digital buildout cost that banks in Malaysia and Taiwan have to bear themselves.

Figure 39: # of branches per 100k adults – EM Asia



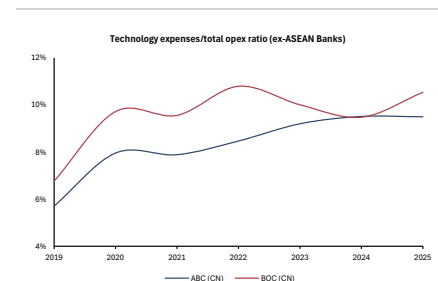
Source: World Bank

Figure 40: # ATMs per 100k adults



Source: World Bank

Figure 41: IT spend / Opex



Source: Company data

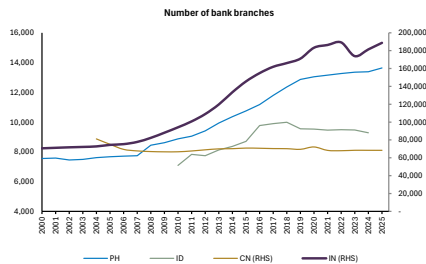
What drives the scores for China banks (1=highest, 5=lowest):

- **Tech culture** – scores 2 alongside Australia and Thailand. The Big Four have world-class data assets and deep integration with the Alibaba and Tencent ecosystems. Fintech displacement of retail banking channels is the most advanced in the world. Scores below Korea and Singapore because innovation is concentrated in state-directed institutions (Figure 41).
- **Competitive urgency** – scores 3 alongside HK, Vietnam, Indonesia, Malaysia, India, and Philippines. Alipay and WeChat have already disrupted retail banking at scale. But state ownership also provides a soft government guarantee of survival that removes existential urgency. Incumbents see AI as a performance metric rather than a survival necessity (Figure 39).
- **Efficiency room** – scores 3 alongside Vietnam and Malaysia. Opex ratios appear efficient but are partially due to cost socialisation and sharing with fintechs rather than genuine operational productivity. Room for real addressable inefficiency still exists. More room than Thailand, Korea, Singapore, and HK; less room than Indonesia, India, Taiwan, Japan, and Philippines (Figure 17).
- **Labour flexibility** – scores 4 alongside India. State employment objectives mean AI savings may result in redeployment rather than direct headcount reduction. Only Japan scores worse on this dimension (Figure 39).
- **IT & data infra** – scores 2 alongside Australia, Thailand, and HK. The Big Four operate large-scale, state-subsidised modern systems. Alibaba and Tencent data ecosystems provide data richness unavailable elsewhere. Scores below only Korea and Singapore.

India

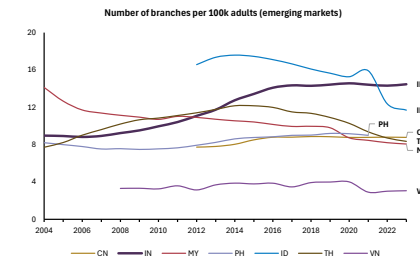
- The only market in the region where total opex / assets has been rising rather than falling in recent years suggesting lower competitive urgency.
- Staff costs have risen as well - a direct result of the bipartite wage settlements, expanding PSU branch networks driven by financial inclusion mandates.
- Non-staff costs also rising reflecting the technology catch-up investments combined with the intensifying compliance requirement post the IL&FS crisis.
- Large room for efficiency improvement in theory but challenging to achieve given less labour flexibility, financial inclusion mandates for PSU banks.

Figure 42: Number of bank branches



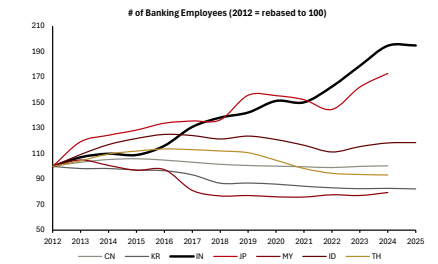
Source: Central banks, Indonesia Financial Services Authority, Company data.

Figure 43: # of branches per 100k adults - EM Asia



Source: World Bank

Figure 44: # of Bank Employees



Source: Central banks, Company data

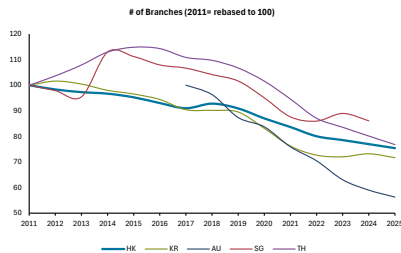
What drive the scores for Indian banks (1=highest, 5=lowest):

- **Tech culture** – scores 4 alongside Taiwan and Philippines. Private banks (HDFC, ICICI, Kotak, Axis) are genuinely advanced and would individually score 2 but PSU banks controlling ~60% of assets drive the overall score lower.
- **Competitive urgency** – scores 3 alongside many peers. Private banks face genuine urgency from PhonePe, Paytm, and a sophisticated fintech ecosystem – arguably the most vibrant in EM Asia outside China. PSU banks are however largely insulated by government mandate, institutional scale, and implicit guarantees. Net sector urgency is moderate: high for 40% of assets, low for 60% ([Figure 43](#)).
- **Efficiency room** – scores 1 alongside Philippines – the largest AI efficiency opportunity in EM Asia, in theory. Both staff costs (bipartite wage settlements, pension liabilities) and non-staff costs (technology catch-up, compliance) are elevated and rising. Critically, unlike Philippines where geography creates structural cost challenges, India's inefficiency is predominantly policy-driven i.e. more addressable if political barriers can be overcome ([Figure 26](#)).
- **Labour flexibility** – scores 4 alongside China. PSU banks face unique constraints: bipartite wage settlements negotiated with powerful unions every 5 years, political sensitivity around government bank employment. Private banks are more flexible ([Figure 44](#)).
- **IT & data infra** – scores 4 alongside Taiwan and Philippines. India Stack – Aadhaar, UPI, Account Aggregator – is world-class infrastructure, a genuine bright spot that would score 1–2 in isolation. But PSU core banking systems are still heavily legacy.

Hong Kong

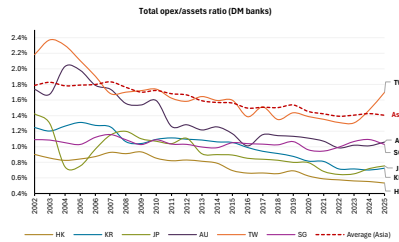
- Consistently the lowest opex / assets in the DM group reflecting a structurally lean wholesale heavy business model that is efficient by design.
- Both staff and non-staff costs are low and have remained broadly stable suggest limited room to drive further efficiency.
- Lack of any improvements in these lines also suggest lack of an urgent existential threat given the oligopolistic structure. This results in less competitive pressure to invest in digital/branches/customer acquisition.
- High property prices mean that banks in HK have always been rationalising branches.

Figure 45: Branch rationalisation



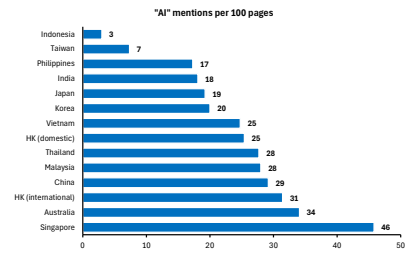
Source: Central banks, Company data

Figure 46: Opex / Assets



Source: Central banks, Company data, UBS estimates.

Figure 47: AI references in annual reports



Source: Company data, UBS.

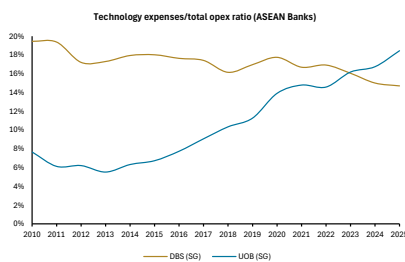
What drive the scores for HK banks (1=highest, 5=lowest):

- **Tech culture** – scores 3 alongside Vietnam, Indonesia, and Malaysia. Sophisticated incumbents with HKMA support and genuine investments driven by virtual bank licences. Scores below Australia, China, and Thailand because tech culture is driven by compliance necessity and competitive response. Wholesale business models and retail market share dominance also reduce urgency for retail digitisation.
- **Competitive urgency** – scores 3 alongside multiple peers. Virtual banks (ZA Bank, Mox, WeLab) create some disruption but the concentrated domestic retail banking structure provides meaningful insulation. Urgency is moderate rather than existential as in Korea and Thailand.
- **Efficiency room** – scores 4 alongside Korea, Singapore, and Australia. Already lean given the wholesale-heavy business mix. Less room than Indonesia, Taiwan, India, or Japan; similar to Thailand which has already transformed actively (Figure 16).
- **Labour flexibility** – scores 2 alongside Korea, Thailand, and Vietnam. Private sector employment norms with no lifetime employment culture. For major banks (HSBC, StanChart), local headcount decisions are often made by global group management rather than locally – removing domestic political constraint. More flexible than Singapore in practice (Figure 45).
- **IT & data infra** - scores 2 alongside Australia, China, and Thailand. International bank standards set a high baseline across the sector. HKMA's technology and risk frameworks drive ongoing investment. Behind Korea and Singapore in terms of data infrastructure and AI deployment depth, but ahead of Vietnam, Indonesia, and Malaysia.

Singapore

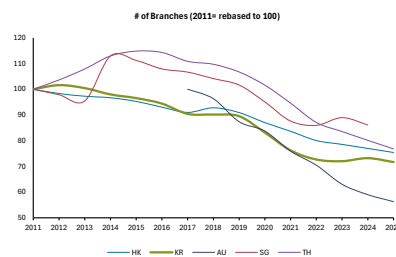
- Total opex to assets sits at middle of the pack in the DM group and broadly stable level. Staff costs tend to be higher than the average DM peer in one of the highest cost of living and expensive cities in the world. Non-staff costs have remained quite consistently low and among the lowest in Asia.
- Both staff and non-staff costs have nudged a bit higher in the recent years, despite the rhetoric of ongoing tech investments, reflecting the lack of evidence that tech investments have resulted in meaningful reduction in opex intensity. Staff costs increase is likely a result of the ongoing WM push given the strong inflow of capital and heating competitive intensity.
- Singapore trends offer an interesting example. Despite the numerous "world's best digital bank" awards for DBS, the efficiency ratio for the sector have not shown any meaningful improvement. WM push not only explains the numerator but also denominator. A growing WM business doesn't always reflect in higher asset growth as the assets can also sit off balance sheet. For this reason, cost to income, while not usually the ideal metric given the income volatility for banks, might be a more relevant metric in this case.

Figure 48: IT spend / Opex



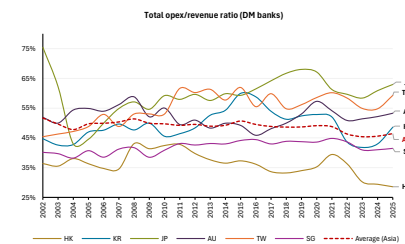
Source: Company data

Figure 49: Branch Rationalisation



Source: Central banks, Company data

Figure 50: Opex / Revenue



Source: Central banks, Company data, UBS estimates.

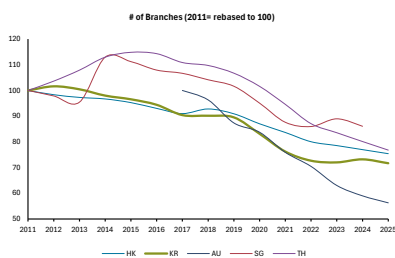
What drive the scores for Singapore banks (1=highest, 5=lowest):

- **Tech culture** – scores 1 alongside Korea as joint tech leader. DBS is a global benchmark but all three majors have invested in technology and data for over a decade. MAS' frameworks set world-class standards that raise the entire sector floor ([Figure 48](#)).
- **Competitive urgency** – scores 2 alongside Australia and Thailand. Open economy, digital bank licences and wealth management competition create real, strategic pressure. While less urgent than Korea but more genuinely competitive than other markets where state interference sometimes helps insulate incumbents from existential threat.
- **Efficiency room** – scores 4 alongside Korea, Australia, and HK. Among the most efficient in the DM peer group ([Figure 16](#)).
- **Labour flexibility** – scores 3 alongside Indonesia, Malaysia, Philippines, and Taiwan. Formally a flexible labour market, but fair retrenchment requirements and acute political sensitivity around job losses in a small city-state create real constraints. Better than Japan or India; but more constrained than Korea or Australia where restructuring track records are more clearly established ([Figure 49](#)).
- **IT & data infra** – scores 1 alongside Korea. MAS guidelines help create best-in-class data governance. Modern core systems at all three majors.

Korea

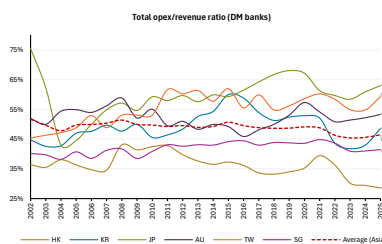
- Total opex to assets ratio shows a clear downtrend – the most visible evidence of a genuine restructuring executed since the crisis in the late 90s.
- This is visible in both the staff and non-staff costs ratio. Staff costs in particular have declined materially driven by large scale branch closures.
- Non staff costs fell as technology consolidation happened and payments infrastructure investments delivered returns. Given a strong domestic IT ecosystem, Korean banks were able to leverage upon it. The large conglomerates in Korea have very strong relationships with the local tech vendors (e.g Samsung) and this enables the partner banks to get these services at lower than market rates. While the Japanese peers have to pay premium prices to foreign vendors for legacy system maintenance
- Low but still declining ratio alongside modern IT infra suggest a sense of competitive urgency. Also driven by the likes of Kakaobank launched in 2017 which rapidly captured market share and posed a credible threat to the traditional banks who responded with genuine efficiency driven responses.

Figure 51: Branch Rationalisation



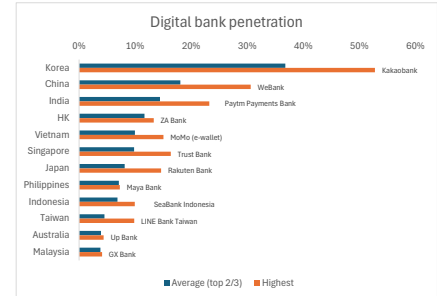
Source: Central banks, Company data.

Figure 52: Opex / Revenue



Source: Central banks, Company data, UBS estimates.

Figure 53: Digibank penetration



Source: Company data, Worldbank. Traditional banks in Japan. Payment bank in India.

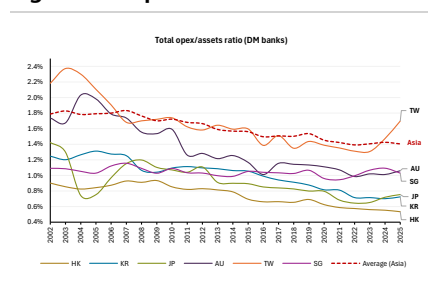
What drives the scores for Korean banks (1=highest, 5=lowest):

- **Tech culture** – scores 1 alongside Singapore as joint tech leader. Korea's tech culture was more driven by competitive crisis.
- **Competitive urgency** – KakaoBank and Toss present the most credible large-scale neobank disruption across Asia unlike only moderate digital banking pressure in most other Asian markets (Figure 53).
- **Efficiency room** – scores 4 alongside Singapore, Australia, and HK as these markets have already made substantial efficiency gains. In Korea, post-1997 restructuring and branch cuts mean ratio have genuinely improved (Figure 52).
- **Labour flexibility** – scores 2 alongside Thailand, Vietnam, and HK. Union presence exists but has not prevented aggressive branch closure programs. More flexible than India, China, or Taiwan; but less than Australia which alone gets a score of 1 (Figure 51).
- **IT & data infra** – scores 1 alongside Singapore – the cleanest technology legacy in Asia. Again rebuilding of core systems following the 1997 crisis played a role. In Singapore, infrastructure quality is more driven by MAS standards.

Taiwan

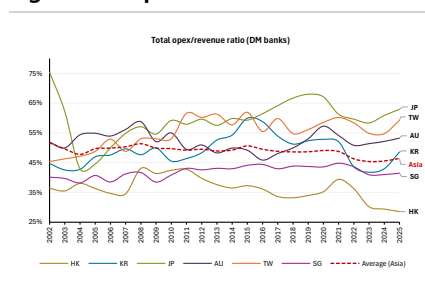
- The only DM market where total opex to assets has been flat to rising sitting at the highest level in the group, and with no meaningful improvement in several years.
- Non-staff costs mirrors the overall opex trend and is at the highest level in DM Asia, and higher than the Asian average which includes high cost EM markets. This is a reflection of the tech investments costs of the competitive banking system fragmented by 39 banks.
- Staff costs have also not declined materially, reflecting the avoidance of branch closures and headcount reduction given the risk of losing customer share in a competitive market.
- High compliance costs and overseas expansion costs add to this pressure.
- The structural issue of overbanking also led to heavy investments in apps, internet banking and fintech partnerships that often came with high costs but thin margins.
- Often some costs related to credit cards is booked under opex (e.g. loyalty points redemption). Given intense competition, this can be sizeable esp for banks active in credit card business. This is one reason why SOE banks like Mega/ First have a low non-labour to asset ratio given minimal credit card business.

Figure 54: Opex / Assets



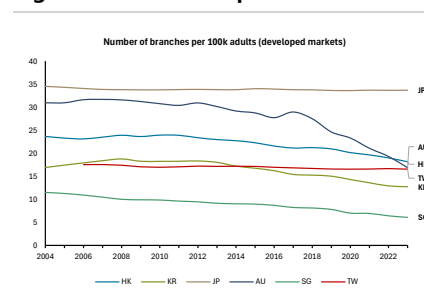
Source: Central banks, Company data, UBS estimates.

Figure 55: Opex / Revenue



Source: Central banks, Company data, UBS estimates.

Figure 56: Branches per 100k adults



Source: World Bank, FSC Taiwan

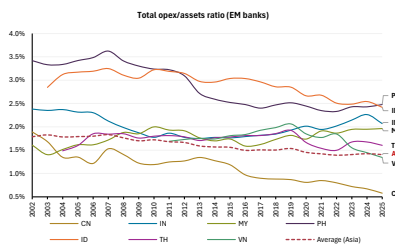
What drives the scores for Taiwan banks (1=highest , 5=lowest):

- **Tech culture** – scores 4 alongside India and Philippines. Thirty-nine banks means most institutions are sub-scale for serious standalone AI investment. A few larger institutions (CTBC, Fubon) have reasonable capability; the long tail drags the sector average.
- **Competitive urgency** – scores 4 – Over-banked with 39 institutions but counter intuitively no existential fintech disruption has emerged. No single digital disruptor is large enough to be existential for any individual incumbent, like in Korea. The competitive risk is more diffused.
- **Efficiency room** – scores 2 alongside Indonesia and Japan. Other opex to assets has been rising – unusual in the peer group and a signal of growing inefficiency. More room than China, Vietnam, Malaysia, and Thailand which have achieved some improvement. Less room than India and Philippines ([Figure 54](#)).
- **Labour flexibility** – scores 3 alongside Indonesia, Malaysia, and Philippines. No lifetime employment norms like Japan. However, some complications arise due to family ownership structures and politics which don't allow for meaningful restructuring ([Figure 56](#)).
- **IT & data infra** – scores 4 alongside India and Philippines. Fragmented investment across 39 banks means no institution has the scale for comprehensive modernisation. Overseas ASEAN expansion adds to the complexity. Behind Australia and HK, despite being a highly developed economy in all other respects.

Indonesia

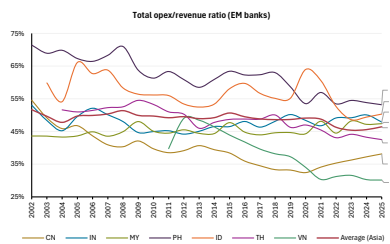
- Total Opex to assets has declined from an elevated level but the ratio remains highest in the EM group alongside the Philippines. This suggests significant room for improvement, but so are the barriers.
- Staff costs remain most elevated in Asia despite the decline over the last 10-20 years, with India the second highest. Similar financial inclusion pressures for the SOE banks are likely behind this which are structural in nature.
- Non-staff costs have declined more meaningfully and sit at the third highest in EM after Philippines and Malaysia, but remain elevated given the irreducible nature of physical cost to serve an archipelago.
- The big four have been investing in technology (e.g. BBRI AI-driven microfinance credit model using alternative data, successful lifestyle apps by BMRI / BBCA) and the opportunity to improve efficiency looks real.

Figure 57: Opex / Assets



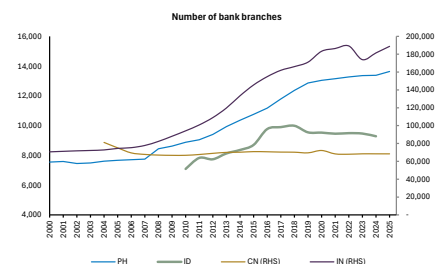
Source: Central banks, Company data, UBS estimates.

Figure 58: Opex / Revenue



Source: Central banks, Company data, UBS estimates.

Figure 59: # of Bank branches



Source: Central banks, Company data.

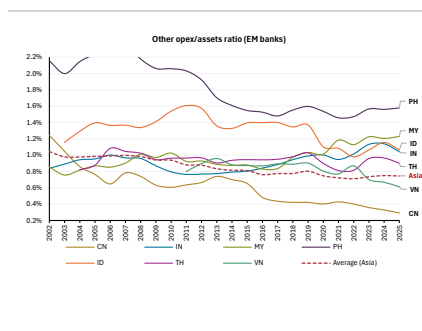
What drives the scores for Indonesia banks (1=highest, 5=lowest):

- **Tech culture** – scores 3 alongside HK, Vietnam, and Malaysia. OJK is supportive and progressive. Scores in the middle because tech culture is uneven – strong at the Big Four, but not the same for the rest. BRI's AI-driven microfinance credit model using alternative data (satellite, mobile, agricultural) is genuinely innovative and globally unique. Lifestyle digital apps at big banks have delivered impressive results.
- **Competitive urgency** – scores 3 alongside many peers. GoPay, OVO, and Dana have created real pressure at the Big Four – more advanced than Malaysia or Taiwan. OJK's digital bank framework adds regulatory urgency.
- **Efficiency room** – scores 2 alongside Taiwan and Japan. High opex ratios driven by structural archipelago costs. More addressable room than China, Vietnam, or Malaysia.
- **Labour flexibility** – scores 3 alongside Malaysia, Philippines, and Taiwan. State bank employment protection is less rigid than in India or China but not freely restructurable. Private banks and foreign banks are more flexible. Better than India and Japan; more constrained than Korea, Thailand, and Vietnam.
- **IT & data infra** – scores 3 alongside Vietnam and Malaysia. BRI and Mandiri have made genuine progress and are deploying AI. The gap between the Big Four and the rest is still quite wide though.

Malaysia

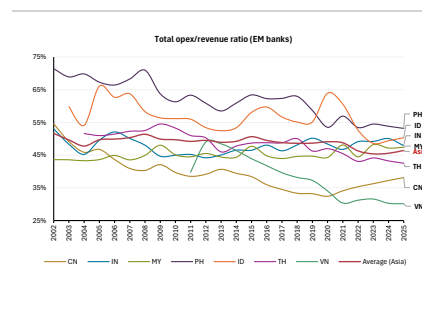
- Total Opex / Assets has largely remained flat, showing much less improvement than in Thailand and Korea for example. The overall level sits in the middle of the EM group.
- Staff costs show a very gradual declining trend reflecting moderate labour flexibility and the absence of aggressive branch rationalisation.
- Non-staff costs show a trend contrary to most other EM peers and has risen in the last few years reflecting the pressure from the dual banking system overhead i.e. running parallel conventional and Islamic windows as Islamic banking has become more prominent and grown at a faster pace than conventional banking.
- This also reflects the intense competition in the market (which also consistently shows in the fee income pressure) and high tech investments driven by the competition and BNM mandated investments in cyber resilience, cloud migration and real time payments.
- The trends overall put Malaysia consistently in the middle of the pack in the EM cohort. A unique factor affecting these trends has been the Ringgit depreciation over most of this period that leads to an increase in USD denominated costs like cloud services, software licenses and cybersecurity tools, often priced in USD.

Figure 60: Non staff Opex / Assets



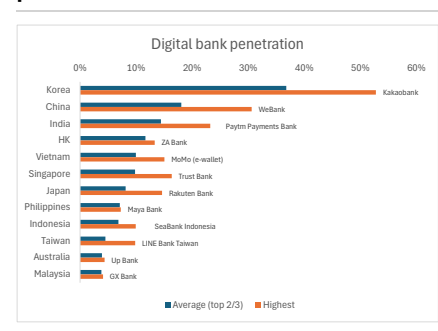
Source: Central banks, Company data, UBS estimates.

Figure 61: Opex / Revenue



Source: Central banks, Company data, UBS estimates.

Figure 62: Digital banking penetration



Source: Company data, Worldbank. Traditional banks in Japan. Payment bank in India.

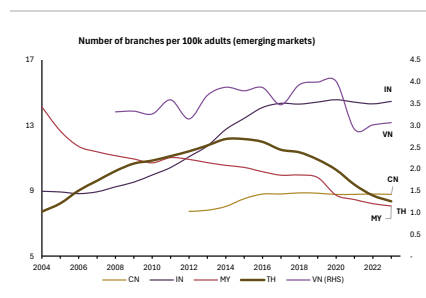
What drives the scores for Malaysian banks (1=highest, 5=lowest):

- **Tech culture** – scores 3 across the board – most consistently middle-of-pack in the group. BNM's Financial Sector Blueprint drives genuine investment and Maybank / CIMB are reasonably advanced. However, dual conventional and Islamic banking creates structural complexity that slows adoption across the sector.
- **Competitive urgency** – scores 3 alongside many peers. Five digital bank licences issued, creating some competitive pressure, but no existential threat like KakaoBank scale in Korea.
- **Efficiency room** – scores 3 alongside China and Vietnam. Middle of the EM peer group on both cost lines, with the dual banking system overhead being the most specifically addressable inefficiency. Parallel compliance, product development, Shariah audit etc. represent a clear AI opportunity. More room than Thailand; less than India or Philippines.
- **Labour flexibility** – scores 3 alongside Indonesia, Philippines, and Taiwan. Moderate overall flexibility. State bank employment has some protection. Restructuring is feasible with adequate political will but less demonstrated in practice than Korea or Australia.
- **IT & data infra** – scores 3 alongside Vietnam and Indonesia. Reasonable modernity at Maybank and CIMB. Behind Australia, China, Thailand, and HK; ahead of India, Taiwan, Philippines, and Japan.

Thailand

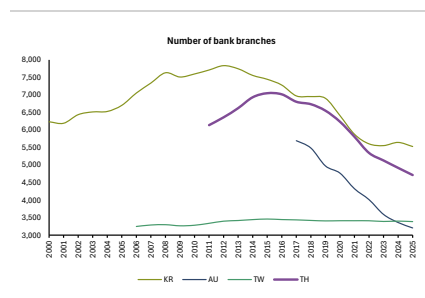
- Most impressive efficiency trends in EM Asia. Total Opex to Assets has continued to decline gradually notwithstanding one of the weakest asset growth in EM. This reflects genuine efforts to drive efficiency rather than denominator driven.
- Staff costs show a similar clear downtrend over the years directly reflecting the aggressive branch rationalisation undertaken by SCB and KBank in the last 10 years.
- Non-staff costs also declined in parallel more clearly from 2017 onwards after the launch of PromptPay which eliminated cash handling charges and interbank settlement costs. India's UPI, Vietnam's VietQR and Indonesia BI-FAST can also have the same efficiency benefits which appear to be still being absorbed. Thailand saw an earlier and faster adoption.
- Given the persistent revenue challenges, tech investments appear to be always more targeted at driving efficiency first and building capabilities second.
- The lack of financial inclusion mandates like in some other Asian peers also helps. Overall given these successes of the past, further room for efficiency gains looks less than ASEAN peers.

Figure 63: # branches per capita



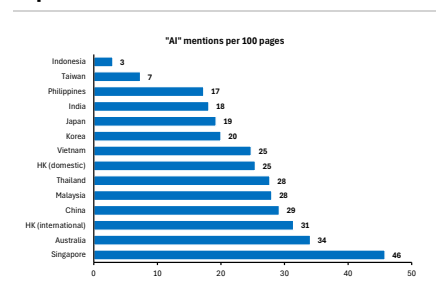
Source: World Bank

Figure 64: # of branches



Source: Central banks, Company data

Figure 65: AI references in annual reports



Source: Company data, UBS.

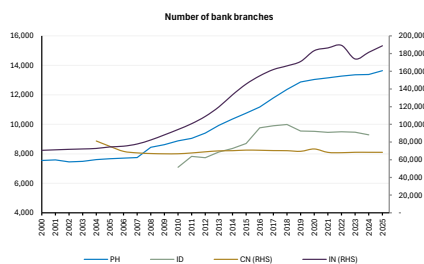
What drives the scores for Thailand banks (1=highest, 5=lowest):

- **Tech culture** – scores 2 alongside Australia and China. KBTG and SCB X are genuine tech-first transformations and have explicit productivity-first mandates — technology investments measured by cost removed not features delivered.
- **Competitive urgency** – scores 2 alongside Australia and Singapore. More urgent than China (where state ownership helps) but less acute than Korea where neobanks have already gained a significant market share.
- **Efficiency room** – scores 4 alongside Korea, Singapore, Australia, and Hong Kong. Thailand is the third lowest opex to assets in EM Asia, achieved through deliberate restructuring against genuinely weak asset growth. No denominator effect (like Vietnam), no state cost-sharing (like in China). This success leaves it with the least remaining efficiency room of any EM market.
- **Labour flexibility** – scores 2 alongside Korea, Vietnam, and HK — among the more flexible in Asia. Significant branch reductions executed over a decade without political paralysis is clear evidence.
- **IT & data infra** – scores 2 alongside Australia, China, and HK. Behind Korea and Singapore at the sector level as provincial banks look less advanced. Large bank infrastructure is among the best in EM Asia further helped by PromptPay's wide adoption that creates a shared, modern payment data layer.

Philippines

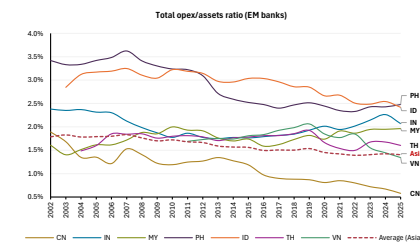
- Total opex to assets sits close to the highest level in Asia, next to Indonesia, and the trend looks largely flat over the last decade or so.
- Staff costs also look elevated not showing any material decline over the years, reflecting the BPO sector competition driving upward pressure on banking wages as well as BSP financial inclusion mandates.
- Non-staff costs are the highest in the group and materially above the peer group. This reflects what are likely structurally irreducible costs to physically serve a widely dispersed population across multiple islands, and typhoon related infra backups. Heavy compliance burden is also often cited by banks as one reason.
- While the big three have the scale and have been investing in technology partly in response to the competitive threat from the new digital banks, the progress and adoption has been slow. These trends suggest plenty of room for efficiency improvement alongside India (more for PSUs than private banks).

Figure 66: Number of banks branches



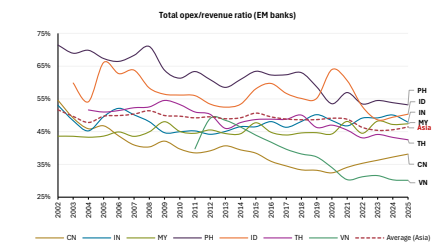
Source: Central banks, Company data

Figure 67: Opex / Assets



Source: Central banks, Company data, UBS estimates.

Figure 68: Opex / Revenue



Source: Central banks, Company data, UBS estimates.

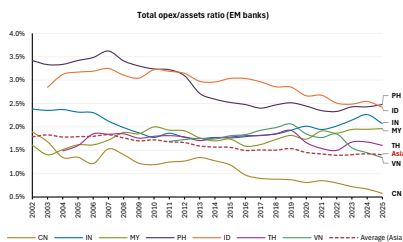
What drives the scores for Philippines banks (1=highest, 5=lowest):

- **Tech culture** – scores 4 alongside India and Taiwan. Universal banks (BDO, BPI, Metrobank) are increasingly investing and BSP is one of the more progressive ASEAN regulators. Sector fragmentation (hundreds of rural, thrift, cooperative banks) prevents aggregate investment at scale. Similar ranking as India but without India Stack.
- **Competitive urgency** – scores 3 alongside many peers. Six digital bank licences (Tonik, Maya, UNObank) are creating some competitive pressure. However, the financial inclusion mandate still driving physical network expansion – partially offsetting efficiency urgency.
- **Efficiency room** – scores 1 alongside India – highest non-staff costs in EM Asia and staff costs second highest, with no improvement visible despite years of investment. A portion of inefficiency might be structural - inter-island cash logistics, typhoon and disaster infrastructure - costs that AI cannot remove.
- **Labour flexibility** - scores 3 alongside Indonesia, Malaysia, and Taiwan. No lifetime employment norm. But BPO competition drives up banking wages, limiting the savings AI would otherwise generate through reduced headcount. Social sensitivity around visible bank job cuts in a market with high underemployment adds political friction. Overall moderate – better than India, China or Japan.
- **IT & data infra** – scores 4 alongside India and Taiwan. Lacking clean integrated infrastructure – tech investments have been rising but still look early. BSP's open finance framework is improving the data layer but from a weak starting point.

Vietnam

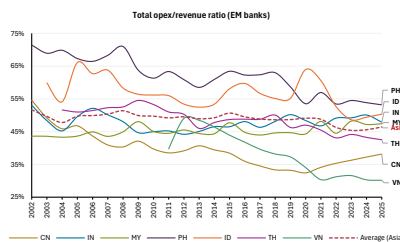
- Second lowest opex to assets in the EM group but this is more a denominator story than genuine efficiency improvements. Vietnam has been the only market in Asia where banking system assets have consistently grown at a double digit pace in the last few years, well above most EM peers.
- Non-staff costs are remarkably low and second only to China in the EM group. This partly reflects the challenges of SOE ownership and lack of significant tech investments for the sector overall. Some private banks like TCB stand out though. The recent decline continues to be largely a denominator story.
- Staff costs are also one of the lowest in the EM group and reflect the very low level of banking sector wages.
- A challenge for the market in future to drive further efficiency gains remains the quality of the data - Vietnam lacks the digital ID or data sharing frameworks that Indonesia and India have. The national credit bureau (CIC) coverage is also limited.

Figure 69: Opex / Assets



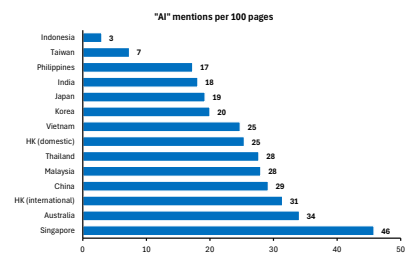
Source: Central banks, Company data, UBS estimates.

Figure 70: Opex / Revenue



Source: Central banks, Company data, UBS estimates.

Figure 71: AI references in AR



Source: Company data, UBS

What drives the scores for Vietnam banks (1=highest, 5=lowest):

- **Tech culture** – scores 3 alongside HK, Indonesia, and Malaysia. Techcombank is a standout that rivals regional leaders on certain dimensions. However, state banks control majority of system assets and still appear behind. Customer-facing digital adoption is fast but back-end infrastructure and data architecture lags.
- **Competitive urgency** – scores 3 alongside many peers. SBV is cautiously opening the market. MoMo, ZaloPay and a growing fintech ecosystem create pressure on private banks but net sector urgency is moderate: higher for private banks like Techcombank but lower for SOEs.
- **Efficiency room** – scores 3 alongside China and Malaysia. Ratios look efficient but this is to a large extent a denominator story - fast asset growth - and low absolute wages. More real addressable inefficiency than Thailand or Korea; less than India, Philippines, or Indonesia.
- **Labour flexibility** – scores 2 alongside Korea, Thailand, and HK. Private banks can restructure relatively freely – no lifetime employment norms and wages are not politically protected in banking. State banks are more constrained but considerably less so than their peers in India or China. Among the more flexible EM markets, ranking higher than Indonesia and Malaysia on the scorecard.
- **IT & data infra** – scores 3 alongside Indonesia and Malaysia. Techcombank (and some SOEs like VCB) are improving materially. Most state banks however still seem to operate on first-generation core banking systems. Data coverage and quality sourced through the national bureau is limited.

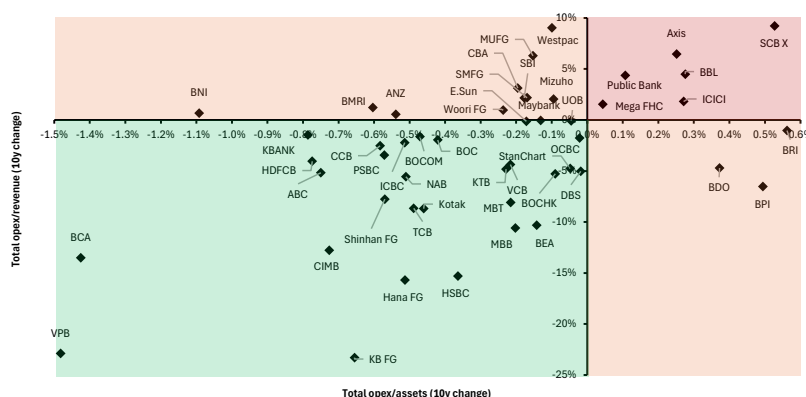
Which banks look better positioned in each market?

Having identified the relative AI readiness of each market above, the scatter plot below shows the opex trends for the leading banks in each market. It helps to identify the banks with a better track record of driving efficiency gains in each market. Banks on the bottom left quartile (coloured in green) showed more improvement in opex metrics vs. the banks on the top right quartile (coloured in red).

Noteworthy observations –

- Singapore** – While overall banks have seen limited improvements in total opex/assets ratio over the last 10y. Owing to the rise in WM of share of revenue makes opex / income a more relevant metric. The other factors have been the need to invest back productivity gains and limited labour flexibility. Within the sector, **DBS** stands out and has seen the largest decline in total opex/revenue ratio relative to peers benefitting from the revenue tailwind from the rapid growth in the WM segment.
- Thailand** – There is an interesting divergence in total opex/assets ratio performance among the banks with **KBANK** and **KTB** seeing a decline while SCBX and BBL seeing an increase over the last 10y. Not only that, on a total opex/revenue basis, KBANK and KTB have managed to keep the ratio flat to slightly lower over the last 10y, while this ratio increased for SCBX and BBL.
- Indonesia** – BBRI stands out among the banks as the only one that saw an increase in the total opex/assets ratio over the last 10y, while BCA, BMRI, and BBNI have seen a decline. **BCA** is the only bank that saw a meaningful decline in the total opex/revenue ratio, while the ratio was generally flat for peers.
- Malaysia** – an interesting contrast between **CIMB** and Public Bank. CIMB improved both the total opex/assets and total opex/revenue ratio over the last 10y, while both ratio increased for Public Bank. Public Bank has historically had the best opex ratio (ie. lowest) in the sector with more limited room for further efficiency improvement.
- India** – an interesting contrast between Kotak, HDFCB, ICICI and Axis. **Kotak and HDFCB** improved both the total opex/assets and total opex/revenue ratio over the last 10y, while both ratio increased for ICICI and Axis over the same period.
- Australia** – **NAB** stands out as the only big bank in Australia to have improved both the total opex/assets and total opex/revenue ratio over the last 10y. While peers (ANZ, CBA, Westpac) also saw improvements in total opex/assets ratio, total opex/revenue ratio was stable for them over the last 10y.

Figure 72: Scoring individual banks to identify relative opportunities



y-axis shows the 10y change in total opex/revenue ratio, while the x-axis shows the 10y change in total opex/assets ratio for the big banks across Asia.

Source: Company data, UBS

Figure 73: Screen of most AI-ready bank in each market in Asia

Ticker	Most AI-ready	Market	Rating	PT (LC)	Share price (LC)	Upside (%)	Fwd P/E (cons)	Fwd P/B (cons)	Fwd div yld (cons)	Fwd ROE (cons)
DBSM.SI	DBS	SG	Neutral	58.00	60.20	-4%	14.9	2.4	6%	16%
CBA.AX	CBA	AU	Sell	130.0	159.4	-18%	23.6	3.3	3%	14%
KBANK.BK	KBANK	TH	Buy	218.0	196.5	11%	9.7	0.8	7%	8%
600036.SS	CMB	CN	Buy	53.0	37.5	41%	6.1	0.7	5%	12%
STAN.L	StanChart	HK	Buy	2,130	1,889	13%	10.3	1.1	3%	11%
HSBA.L	HSBC	HK	Neutral	1,425	1,324	8%	10.1	1.6	5%	16%
TCB.HM	TCB	VN	Buy	45,000	34,050	32%	7.5	1.2	3%	16%
BMRI.JK	BMRI	ID	Buy	7,250	4,200	73%	6.7	1.2	10%	18%
CIMB.KL	CIMB	MY	Buy	9.50	7.88	21%	10.0	1.1	6%	11%
BPI.PS	BPI	PH	Buy	150.0	89.3	68%	6.8	0.9	6%	13%
HDBK.BO	HDFCB	IN	Buy	1,175	768	53%	13.7	1.9	2%	14%
2884.TW	E.Sun	TW	Buy	37.0	31.7	17%	13.2	1.7	5%	13%
8306.T	MUFG	JP	Buy	3,400	2,929	16%	13.1	1.5	3%	11%
105560.KS	KB FG	KR	Not Rated		153,000		8.5	0.9	3%	11%

Source: Datastream, UBS. Prices as of 15 May 2026. Note: Based on UBS analyst views in their respective markets. In Korea this is based on the historical performance of opex changes in Fig 72 above.

Are markets pricing in the AI-driven efficiencies?

Is the market starting to price in some of these differences in AI readiness among Asian banks? Or do investors remain sceptical over execution and timing. AI readiness don't appear to be a part of the investment debates for most Asian banks yet and as a result the findings below look quite intriguing. We don't think its the AI benefits that are starting to get priced in yet. Its more the "safety trade" that has explained the performance of banks since last year. But we believe with an AI optionality on top, which means that even if the macro shifts and the safety trade winners looks less attractive, but if AI delivers, the outperformance of the winners could still continue.

We compare the historical relationship between P/B valuations and ROE for the **top 5 and bottom 5** markets identified in the AI readiness scorecard above. In figure 37 the grey dots represent the monthly datapoints for relative PB to relative ROE relationship over the last two decades (post GFC) and seem to fit in straight line, as would be expected.

The most recent values are shown by the red and green dots. The green dots represent the most recently 12 months, and the red dots the 12m prior. The breakout from this historical pattern, the latest green dot is at a **35% premium** to its fair value spot on the trend line, suggesting that the market has already started to pay a significant premium for the most AI ready markets.

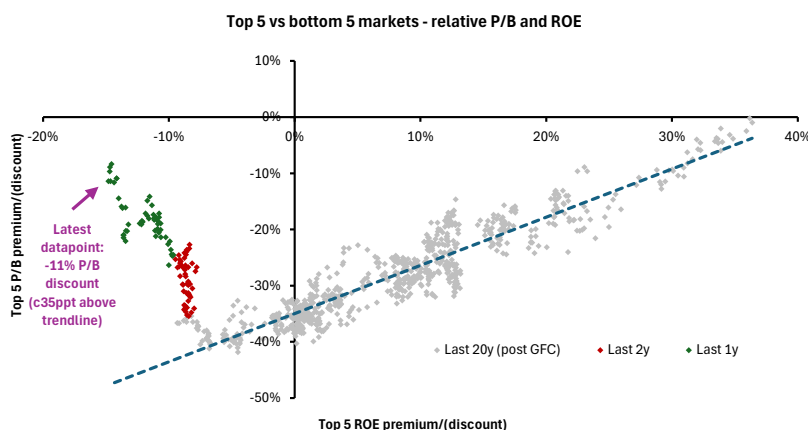
Interestingly these five markets also sit atop of the "safety trade" scorecard (i.e. FX stability + high dividend yield) that as we have discussed at length in the past helps explain the performance of Asian banks and the difference between the outperformers vs underperformers since the beginning of last year. See these notes for some of that discussion –

- [Asian Banks "2026: Déjà vu or Déjà new?"](#)
- [Singapore Banks "Will a preference for "safety" & outperformance contin..."](#)

Is the market making a prescient call on AI readiness or is this the safety trade in disguise? This is a debate at best.

Nevertheless, in either case banks need to deliver on these efficiency gains for this to sustain. The safety trade could fade over the medium term and for this valuation gap to sustain the promises of efficiency gains through AI will need to be delivered on. On the other hand, if this is AI readiness being already priced in (not our base case) ,the promise needs to be delivered.

Figure 74: Top 5 vs bottom 5 markets – relative P/B and ROE



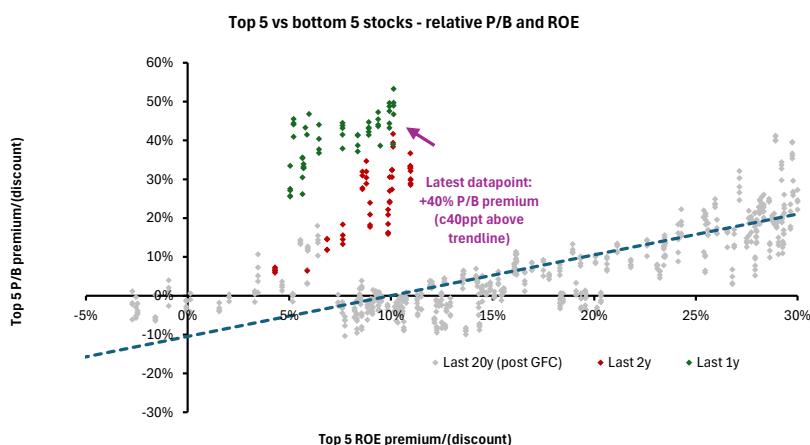
Top 5 markets as identified in our AI readiness scorecard is trading at a narrower P/B discount of 11%, compared to historical trend of around 45% discount for a similar ROE differential.

Source: Datastream, UBS. Prices as of 15 May 2026.

Even more intriguing is the stock-level valuation premium observed between the most AI-ready banks and the less well prepared. These names were identified by respective UBS analysts across the top five markets and bottom markets.

Historically, these more AI ready banks traded at roughly a 10% P/B discount for a similar ROE differential. Today the valuation premium of this group of the most AI ready banks in the top 5 markets vs. less well prepared in the bottom 5 is around 40%. Again, just like in the case of cross market premium discussed above, this can be prescient market call or simply a coincidence. We don't think it is the AI benefits being priced in. The promise of higher efficiency, that technology did not deliver on in the last decade, needs to be fulfilled though for this valuation to sustain.

Figure 75: Top 5 vs bottom 5 stocks – relative P/B and ROE



Top 5 stocks across the top five markets are currently trading at a c40% P/B premium to AI laggards in the bottom five markets.

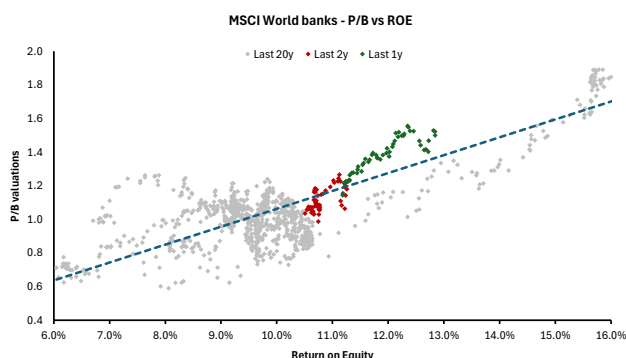
Historically, these leaders would have traded at no discount for a similar ROE differential.

Source: Datastream, UBS. Prices as of 15 May 2026.

Aside from these cases, where one could argue that the market is starting to price in some AI benefits, we also note two cases where there are no signs of any such premium / discount being priced at the moment.

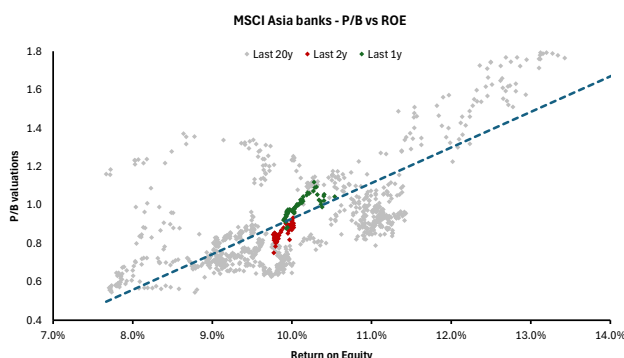
First at the broad market level, both for the MSCI World Banks Index and MSCI Asia Banks Index, Figures 76 and 77 below shows the current PB/ROE data points in the context of the last two decades. The data doesn't suggest any meaningful deviation from the long term trend, and thus no apparent signs of any AI premium or discount being priced.

Figure 76: MSCI World banks – P/B vs ROE



Source: MSCI

Figure 77: MSCI Asia banks – P/B vs ROE



Source: MSCI

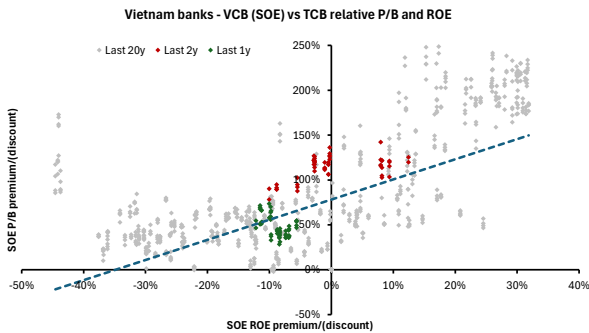
Similarly as we discussed above in the India section, there seems to be a gap in the AI-readiness of SOE banks in India vs the private peers, given the level of tech adoption so far and other constraints like labour flexibility. Across some other Asian markets e.g. China, Indonesia and Vietnam – SOE banks have also invested heavily in technology

keeping pace with private-sector peers. As a result, relative valuations should not be expected to be pricing in any material AI benefits for either group on a relative basis. India appears to be an exception. Is the market pricing any of this?

Figure 79 below shows the PB/ROE relationship for India SOE banks vs private banks. Contrary to what would be expected, India SOE banks are now trading at a premium to the historical relationship vs. the private banks (i.e. still a discount but much narrower vs the past).

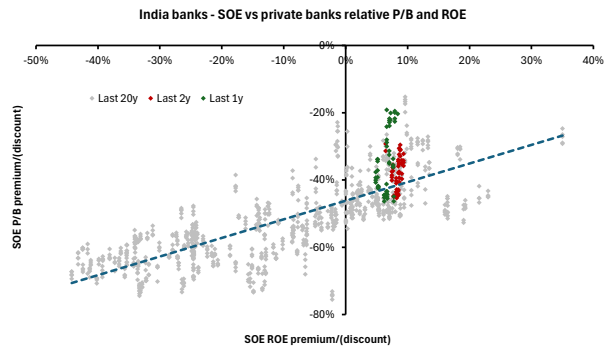
In Vietnam, the contrast in the AI readiness of SOE banks vs private is not so clear, especially if one compares VCB with TCB. The valuation data (Figure 78) doesn't show any significant deviation from the long term trend, which looks in line with expectation.

Figure 78: Vietnam banks - SOE vs private banks relative P/B and ROE



Source: Datastream, UBS

Figure 79: India banks - SOE vs private banks relative P/B and ROE



Source: Datastream, UBS

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Bank Mandiri ⁷	BMRI.JK	Buy	Rp4,130	18 May 2026
Bank Rakyat Indonesia ⁷	BBRI.JK	Buy	Rp3,060	18 May 2026
Bank of the Philippine Islands ^{4,7,6a,6c}	BPI.PS	Buy	P89.30	18 May 2026
CIMB Group Holdings Berhad ^{28,7,6a,6b}	CIMB.KL	Buy	RM7.80	18 May 2026
China Merchants Bank ^{28,7,18,6a,6b,16a}	3968.HK	Neutral	HK\$46.58	18 May 2026
China Merchants Bank - A ^{28,7,18,6a,6b,16a}	600036.SS	Buy	Rmb37.47	18 May 2026
Commonwealth Bank of Australia ^{1,2,4,5,28,7,6c}	CBA.AX	Sell	A\$160.74	18 May 2026
DBS Group Holdings ^{4,28,7,6a,6b,6c}	DBSM.SI	Neutral	S\$60.76	18 May 2026
E.Sun Financial ^{28,7}	2884.TW	Buy	NT\$31.70	18 May 2026
HDFC Bank ^{2,4,28,7,8,6c,16b}	HDBK.BO	Buy	Rs767.80	15 May 2026
HSBC Holdings ^{2,4,5,28,7,6a,6b,16a,6c,16b}	0005.HK	Neutral	HK\$138.10	18 May 2026
HSBC plc ^{2,4,5,28,7,6a,6b,16a,6c,16b}	HSBA.L	Neutral	1,324p	15 May 2026
Kasikornbank ^{4,7,6c}	KBANK.BK	Buy	Bt196.50	15 May 2026
Kotak Mahindra Bank ⁷	KTKM.BO	Buy	Rs387.30	15 May 2026
Krungthai Card PCL ²⁸	KTC.BK	No Rating	Bt29.25	15 May 2026
Mitsubishi UFJ Financial Group ^{2,4,5,28,7,6a,6b,6c,16b}	8306.T	Buy	¥2,995	18 May 2026
National Australia Bank ^{2,4,5,28,7,6a,6c}	NAB.AX	Buy	A\$36.32	18 May 2026
Standard Chartered ^{2,4,28,7,6a,6b,16a,6c}	2888.HK	Buy	HK\$196.60	18 May 2026
Standard Chartered plc ^{2,4,28,7,6a,6b,16a,6c}	STAN.L	Buy	1,889p	15 May 2026
Techcombank	TCB.HM	Buy	D34,000	18 May 2026

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